



CONSULTANCY

Cermedes

Applied Market-Class Presentations

Group 04

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[CERMEDES CASE PAPER 1](#)

[CERMEDES CASE PAPER 2](#)

16.05.2025

CASE: Conduct a Strategic Analysis for CERMEDES

CASE

Provide the CEO of CERMEDES with advice on the following issues:

- a. Provide an overview of the industry, trends, and competitors; identify opportunities and threats in the external environment!
(E.g., are there relevant trends, who are the key competitors, what is the nature of competition)
- b. Identify competitive strengths (and weaknesses) that provide CERMEDES with a competitive advantage, if any!
(E.g., how is our market position – are we among the top players, what are our key resources)
- c. Prepare charts and be ready to present!

90 min.

43



STRATEGY & MANAGEMENT GAME





TABLE OF CONTENT

01 Industry Overview

02 Industry Trends

03 Market Outlook

04 Competitive Landscape

05 Industry Analysis
(Porter's 5 forces)

06 SWOT Analysis

07 SWOT Analysis (Ansoff)

INDUSTRY OVERVIEW

Industry: German Power Tools Market



Total Market Value:
€667 million approx.
(Last year)



Largest DIY market in
EU: €39 billion,
growing at 5.2%
annually



Dominated by
Professional market:
60-70% of total
market



Three Market Segments:
Electric (dominant),
Pneumatic, Hydraulic,
and other power tools.

INDUSTRY TRENDS

Key Trends in consumption

- > Increasing demand for ergonomic and lightweight tools
- > Growing popularity of multi-functional and innovative tools (Three-in-one tools)
- > Increase in demand for DIY/garden equipment from an aging, affluent population
- > Strong differentiation into two clear price segments (premium vs budget)
- > Rise in Lithium-ion Technology and increase in demand for measuring tools



INDUSTRY TRENDS

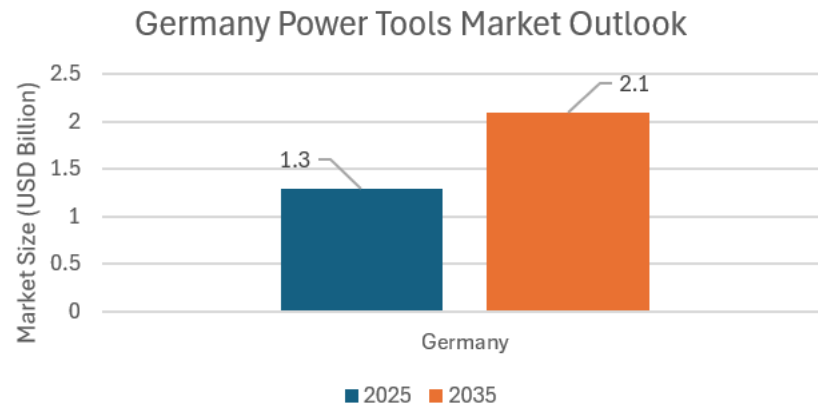
Key Trends in Production

- > Rationalization and Efficiency-Decline in employees
- > Strong consumer preference for “Made in Germany” quality
- > Rising environmental regulations-Increasing manufacturing costs
- > Increased outsourcing by major competitors, risking quality & intellectual property
- > Significant price pressure, especially from Asian imports



MARKET OUTLOOK

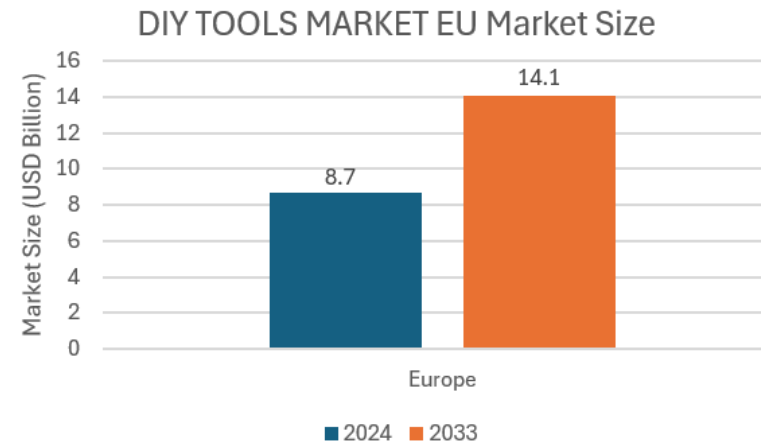
The Germany power tool market is set for steady growth, driven by increasing demand across construction, automotive, manufacturing, and DIY sectors.



compound **annual growth rate** (CAGR) of **4.5%** over the forecast period.



Driven by increasing home renovation and the growing popularity of DIY home improvement projects



COMPETITIVE LANDSCAPE



KEY COMPETITORS

- DIY and Professional: Bosch (market leader in both segments), AEG, Metabo, Kress.
- Professional Only: Hilti, Festool, Fein, Makita.



MARKET SHARES

- Professional: Bosch leads (26%), followed by Metabo (14%), AEG (11%), Festool (11%).
- DIY: Bosch also leads (25%), significant presence of private labels (21%) and Metabo (15%).

INDUSTRY ANALYSIS

Threat of Entry			
- Barriers include: ➤ High capital investment ➤ Brand loyalty ➤ Regulatory compliance - Challenging for new entrants to compete in professional segments Future: Rising environmental regulations and tech demands will heighten barriers			
Today	MED	Future	HGH



Supplier power			
Many suppliers exist, but specialized providers (e.g., battery tech) hold moderate influence Future: Stricter regulations and quality standards will boost supplier leverage			
Today	MED	Future	HGH



Intensity of rivalry			
- Dominated by established brands (Bosch, Metabo, AEG, Festool) - Competition driven by quality, innovation, brand reputation, and price pressures from cheaper Asian imports Future: Sustained rivalry due to ongoing innovation and cost competition			
Today	HGH	Future	HGH



Buyer power			
- Professionals: Prioritize quality/durability (less price-sensitive) - DIY consumers: More price-driven but value innovation Future: Stable dynamics as quality vs. price balance persists			
Today	MED	Future	MED



Threat of substitutes			
Core tools (drills, grinders) have no practical substitutes; limited alternatives like rentals Future: Tools remain essential; substitutes unlikely to disrupt demand			
Today	LOW	Future	LOW

STRENGTHS

Strong Brand Reputation

High perceived quality and "Made in Germany" credibility

Established Distribution Network

70% of high-power product sales through wholesalers

Flexible Production

Modular assembly process with multiple supplier options for components

Diverse Product Portfolio

Range of drill machines, hammers, and grinders across power categories (500–2000 W)

Skilled Workforce

Employees with technical qualifications (e.g., Dipl.-Ing. engineers, certified clerks)

WEAKNESSES

Stagnant Sales

Revenue flat/declining over three years, especially in electric tools (€30.7M last year)

Outdated Technology

No lithium-ion or ergonomic designs, lagging competitors like Bosch and AEG

Supply Chain Inefficiencies

Long lead times for critical components (e.g., screws: 120 days from Lung-Wah LTD)

Over-Reliance on Declining Segments

Heavy focus on electric power tools (market shrinking at -9% annually)

7

OPPORTUNITIES

Growing DIY Market

Aging population driving demand for garden tools and affordable equipment.

Lithium-Ion Technology

Rising popularity of cordless, lightweight tools (e.g., professionals and DIY users).

Premium Pricing Potential

Leverage "Made in Germany" to target high-margin professional segments.

Multi-Functional Tools

Trend toward three-in-one devices and problem-solving innovations.

Strategic Partnerships

Collaborate with specialist retailers to strengthen presence in the professional market.

THREATS

Intense Price Competition

Low-cost Asian imports eroding DIY margins (average prices down 2.3% annually).

Declining Construction Industry

-7% drop in German construction output impacts professional tool demand.

Counterfeit Products

Risk of imitation from Chinese manufacturers undermining brand value.

Regulatory Pressures

Environmental laws (e.g., waste disposal, material restrictions) increasing costs.

Competitor Strategies

Outsourcing by rivals (e.g., Bosch, Hilti) driving down production costs.

SWOT ANALYSIS

SWOT MATRIX (Ansoff)

Step 1: Identify Internal Factors boxes:

- Strengths:
- Weaknesses:

Step 2: Identify External Factors boxes:

- Opportunities:
- Threads:

Step 3: Fill the 2x2 SWOT Matrix
Combination which leads to Strategies

SWOT MATRIX

Internal/External

Strengths (S) (Internal):

S1: "Made in Germany" reputation and high-quality products
S2: Exclusive in-house manufacturing ensures quality
S3: Strong product durability and reliability

Weakness (W) (Internal)

W1: Lack of ergonomic, advanced technology features (e.g., battery technology)
W2: Weak brand visibility and limited marketing efforts
W3: Limited product differentiation compared to market leaders

Opportunities (O) (External)

O1: Professionals are less price-sensitive and value quality
O2: Increasing demand for ergonomic and multi-functional tools due to demographic shifts
O3: Growing interest in sustainability and environmentally responsible products

Threats (T) (External)

T1: Aggressive price competition from Asian imports
T2: Rising costs due to environmental regulations
T3: Increased risk of imitation and counterfeits from global competitors

**SO-Strategies
(Use Strengths to
exploit
Opportunities)**

**WO-Strategies
(Improve
Weaknesses to
exploit
Opportunities)**

**ST-Strategies (Use
Strengths to
minimize Threats)**

**WT-Strategies
(Minimize
Weaknesses to
mitigate Threats)**

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SWOT MATRIX-SO STRATEGIES

Internal/External

Opportunities (O) (External)

O1: Professionals are less price-sensitive and value quality

O2: Increasing demand for ergonomic and multi-functional tools due to demographic shifts

O3: Growing interest in sustainability and environmentally responsible products

Strengths (S) (Internal):

S1: "Made in Germany" reputation and high-quality products

S2: Exclusive in-house manufacturing ensures quality

S3: Strong product durability and reliability

SO-Strategies

(Use Strengths to exploit Opportunities)

S1O1: Leverage the "Made in Germany" premium positioning to specifically target professional segments, emphasizing reliability and superior quality.

S2O2: Capitalize on exclusive manufacturing capabilities to innovate ergonomic, durable, multi-functional tools suited for an aging but affluent demographic.

S3O3: Promote sustainable manufacturing practices inherent in German production to appeal to eco-conscious consumers.

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SWOT MATRIX -WO STRATEGIES

Internal/ External

Weakness (W) (Internal)

W1: Lack of ergonomic, advanced technology features (e.g., battery technology)

W2: Weak brand visibility and limited marketing efforts

W3: Limited product differentiation compared to market leaders

Opportunities (O) (External)

O1: Professionals are less price-sensitive and value quality

O2: Increasing demand for ergonomic and multi-functional tools due to demographic shifts

O3: Growing interest in sustainability and environmentally responsible products

WO-Strategies (Improve Weaknesses to exploit Opportunities)

W1O1/O2: Introduce advanced features (ergonomic grips, lithium-ion battery technology) to address the demand for innovation in professional segments, positioning products as premium, tech-forward solutions.

W2O3: Increase brand visibility through targeted marketing campaigns highlighting sustainability credentials and advanced product features.

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SWOT MATRIX -ST STRATEGIES

Internal/ External

Strengths (S) (Internal):

- S1:** "Made in Germany" reputation and high-quality products
- S2:** **Exclusive in-house manufacturing ensures quality**
- S3:** Strong product durability and reliability

Threats (T) (External)

- T1:** Aggressive price competition from Asian imports
- T2:** Rising costs due to environmental regulations
- T3:** **Increased risk of imitation and counterfeits from global competitors**

ST-Strategies (Use Strengths to minimize Threats)

- S1T1:** Strengthen premium market positioning ("Made in Germany") to justify price points and mitigate price pressures from cheaper Asian imports.
- S2T3:** **Utilize in-house manufacturing to enhance protection against counterfeiting, emphasizing authentic German-made products to reassure customers against lower-quality imitations.**

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SWOT MATRIX -WT STRATEGIES

Internal/ External

Weakness (W) (Internal)

W1: Lack of ergonomic, advanced technology features (e.g., battery technology)

W2: Weak brand visibility and limited marketing efforts

W3: Limited product differentiation compared to market leaders

Threats (T) (External)

T1: Aggressive price competition from Asian imports

T2: Rising costs due to environmental regulations

T3: Increased risk of imitation and counterfeits from global competitors

WT-Strategies (Minimize Weaknesses to mitigate Threats)

W1T1: Differentiate clearly from low-cost competitors by rapidly adopting ergonomic and advanced technologies, reducing vulnerability to price-based competition.

W2T2: Strengthen marketing strategies to communicate value clearly and justify higher prices, balancing increased costs due to environmental compliance.

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THANK YOU

*We appreciate your time and
interest.*

Extra Slides...

5C ANALYSIS



1. Customers



2. Context (Environment)



3. Company



4. Collaborators & Complementors



5. Competitors

Consumer Needs:

- Professional users: prioritize quality, reliability, durability, and ergonomics.
- DIY users: price sensitivity balanced by an increasing preference for multi-functional and user-friendly products.
- Aging demographic (affluent): ergonomic, lightweight, easy-to-use tools.

Decision-Making Process:

- Professional users rely heavily on specialized channels and brand reputation (specialized stores).
- DIY consumers influenced by price-performance ratio and purchase through DIY retail channels and increasingly online.
- Consumers often face regret over ergonomic issues, product handling, and durability (highlighting opportunities).

5C ANALYSIS



1. Customers



2. Context
(Environment)



3. Company



4. Collaborators &
Complementors



5. Competitors

Socio-Cultural E:

- Increasing aging but affluent population, with growing leisure time and DIY culture.
- Higher value placed on ergonomics, sustainability, and health-related product attributes.

Economic E:

- DIY market robust growth (5.2% annually).
- Price sensitivity among DIY consumers versus professional segment willing to pay a premium.

Political/Legal E:

- Increasing environmental regulations (waste disposal, energy efficiency, chemical regulations).
- Regulatory compliance driving cost pressure on production processes.

Technological E:

- Increasing importance of ergonomic, multi-functional, and battery-powered (Lithium-ion) tools.
- Emerging online and digital sales channels becoming crucial for market access.

Ecological E:

- Strong market preference toward environmentally responsible products and production processes.

5C ANALYSIS



1. Customers



2. Context
(Environment)



3. Company



4. Collaborators &
Complementors



5. Competitors

Business Model & Competitive Strategy:

- Revenue streams mainly from drill machines (51%), followed by grinding (27%) and drill hammers (22%).
- Focused on premium segment through quality manufacturing ("Made in Germany").

Competitive Advantage - USP (Unique Selling Proposition):

- In-house German production ensuring high quality and reliability.
- Established brand value based on durability and product robustness.

Current Weaknesses:

- Lack of advanced ergonomic features and modern technology integration.
- Limited brand visibility and marketing compared to industry leaders.

5C ANALYSIS

> 1. Customers

> 2. Context
(Environment)

> 3. Company

> 4. Collaborators &
Complementors

> 5. Competitors

Collaborators:

- Strong relationships with specialized retailers and wholesalers (Norddeutsche Elektro GmbH, Preußische Elektro GmbH).
- Suppliers of high-quality components and materials (e.g., Floss AG, Siemens AG).

Complementors:

- Potential collaboration with DIY and specialist stores (e.g., Bauhaus, specialized stores).
- Opportunities in online marketplaces and platforms to expand market reach.

5C ANALYSIS



1. Customers



2. Context
(Environment)



3. Company



4. Collaborators &
Complementors



5. Competitors

Key Competitors:

- **Professional and DIY:** Bosch (leader), AEG, Metabo, Kress (maintaining German production standards).
- **Professional-only segment:** Hilti, Festool, Fein, Makita.

Competitive Strategies:

- Bosch employs a global strategy with localized production for different markets.
- AEG maintains centralized R&D but outsources smaller production components.
- Festool and Mafell concentrate on innovation-driven premium niches.

Competitors' Advantages:

- Bosch's extensive brand recognition and market dominance.
- Competitors actively investing in ergonomic and technological innovations (Lithium-ion batteries, multi-tools).

RESOURCE BASED VIEW



Resource 1: “Made in Germany”

Valuable?	Rare?	Costly to imitate?	Exploited by organization?	Implications
Yes (Strong association with high quality)	Yes (Fewer brands maintain fully German production)	No (Due to outsourcing trend, others can replicate partially)	Partially (Not used fully to differentiate with strong branding or innovation)	Temporary competitive advantage

RESOURCE BASED VIEW



Resource 2: Manufacturing in-house infrastructure

Valuable?	Rare?	Costly to imitate?	Exploited by organization?	Implications
Yes (Ensures quality and control)	No (Not rare among mid-size German manufacturers)	No (Other competitors outsource efficiently)	Limited (Exploited at a limited level)	Competitive parity

RESOURCE BASED VIEW



Resource 3: Brand Trust

Valuable?	Rare?	Costly to imitate?	Exploited by organization?	Implications
Yes	Yes	Yes (Requires time to build)	No (Low visibility in marketing, weak brand awareness)	Competitive disadvantage due to underutilization

RESOURCE BASED VIEW



Resource 4: Potential for innovation using existing facilities

Valuable?	Rare?	Costly to imitate?	Exploited by organization?	Implications
Yes (Can differentiate through ergonomic design, multi-tools)	Yes (Few firms integrate such user-focused design in German-made tools)	Yes (Requires R&D, feedback loops, design know-how)	Yes	Sustained competitive advantage if fully leveraged



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CASE: Segment, Target and Position CERMEDES

Develop an understanding of interesting (future) market segments and the (potential) positioning of CERMEDES within these segments!

Does CERMEDES need to think about product innovation or other ways to reposition products? If so, how?

17.05.2025

These might comprise the following and further aspects:

- What are relevant customer / consumer segments?
- Evaluate the product offering in general and within these segments?
- What would be an ideal positioning for CERMEDES;
formulate a positioning statement?

90 min!



Segment Identification & Classification

Segment	Demographic	Psychographic	Behavioral
Professional Users	Working Age, Middle-Income	Quality-Focused, Brand Loyal	Heavy Usage Regular Buying
DIY Users	Varied Age, Medium-Income	Innovation-Seekers, Practical Lifestyle	Moderate Usage
Aging, Affluent DIY Users	Older Age, High-Income	Comfort-Driven, Preference for Ergonomics	Light-to-Moderate Usage



Evaluating & Selecting Target Segments

Criteria	Professional	DIY	Aging DIY
Measurable Quantifiable data (size)	HIGH	HIGH	HIGH
Substantial Profitable scale	HIGH	HIGH	MEDIUM
Accessible Reachable via channels	HIGH	HIGH	MEDIUM
Differentiable Unique needs/response	HIGH	HIGH	HIGH
Actionable Feasible to target	HIGH	HIGH	HIGH
Overall Score	HIGH	HIGH	HIGH

Primary Target: Professional Users

Secondary Target: Aging, Affluent DIY Users

A Persona

"I can't afford downtime. If a drill fails during a job, it costs us more than the tool itself."

"I don't mind paying more—as long as it lasts and I can get a replacement fast."

"My team needs tools that are powerful, intuitive, and ready to go the moment they arrive."



Andreas Haus

- 45 years old
- Male
- Lived in Rotterdam, Netherlands
- 18+ years in facility and property maintenance
- Owner & Operations Manager of a mid-sized property maintenance company with 10-25 employees
- Markets Served - Commercial buildings, residential complexes, and small office buildings

Customer Segment: A

Property Maintenance Firms in DACH + Benelux

Segment size

- 50,000+ firms in DACH + Benelux (Approx.)
- €40B+ facility maintenance market (Western Europe)

Need and wants

- Reliable, durable tools
- Ergonomics & safety
- Fast after-sales support; EU/German compliance
- Flexible purchase/rental options

Segment growth

- 4–6% CAGR (Approx.)
- Growth from aging buildings, outsourcing, and sustainability investments

Buying process

- Centralized procurement
- Evaluates total cost of ownership, reliability, support
- Structured repeat contracts

Profitability

- High margin
- Low price sensitivity
- Recurring revenue via rentals/service

Success factors

- Product excellence & compliance
- Responsive after-sales
- Strong B2B relationships
- Trusted German brand

A Persona

“I want tools that feel like they were designed for me—not just painted pink as an afterthought.”

“It should work intuitively. If I need a manual for a drill, it’s too complicated.”

“Good tools make DIY feel like a pleasure, not a chore.”



Teresa Links

- 62 years old
- Female
- Married, has 3 grandchildren
- Lived in Hannover, Germany with a small urban garden
- Retired
- Lifestyle - Stylish, hands-on, eco-conscious; passionate about creating beautiful, functional spaces - indoors and out

Customer Segment: B

High-End DIY Enthusiasts (Age 45–65, Urban, Western Europe)

Segment size

- ~3–5 million affluent DIY hobbyists (Germany, Benelux, Scandinavia, UK); growing demographic

Need and wants

- Pro-grade quality; Ergonomic & lightweight design
- User comfort; Reliable after-sales
- Brand reputation

Segment growth

- Steady growth (aging, affluent population)
- Rising DIY trend and home/garden investment

Buying process

- Individual purchase
- Researches online, seeks reviews
- Prefers specialty retail or branded e-commerce

Profitability

- High willingness to pay
- Favors premium/value
- Repeat purchases, accessories, extended warranties

Success factors

- German engineering image
- Ergonomics & ease-of-use
- Online presence & community
- Excellent customer support

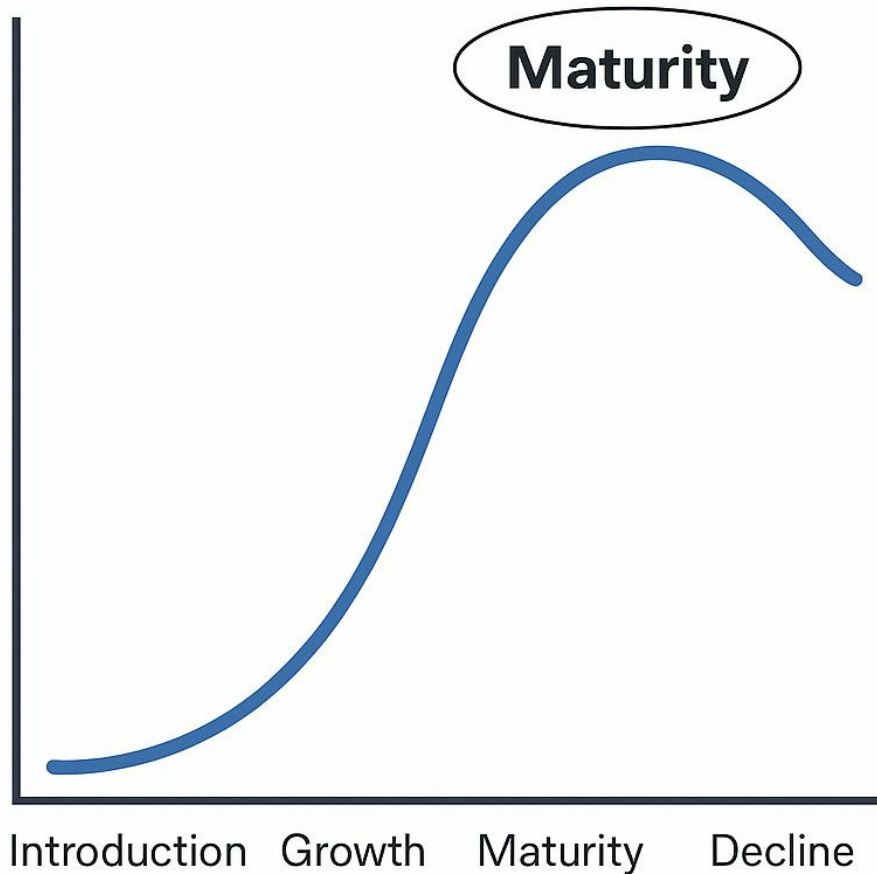
Ranking Customer Segments

RANKS	Market potential (1–4)	Market growth (1–4)	Competition (1– 4)	Compatibility with mission (1– 4)	Sum of ranks
Building Maintenance Companies in Germany & Nearby Countries	4	3	3	4	14
High-End DIY Enthusiasts (Western Europe)	3	3	2	4	12

Business Model Canvas

Key Partners • Facility Service Associations and Local B2B Distributors • Specialty Retail Chains and E-Commerce Platforms • Component Suppliers • Online DIY Communities /Influencers • Facility Management Companies • Marketing/content creation Agencies	Key Activities • Product Design & Manufacturing • B2B Sales & Relationship Management • Brand Building & Content Marketing • After-Sales Service and Support • Continuous Product Innovation Key Resource • Premium In-House Manufacturing Facilities • Strong B2B and Retail Sales and Marketing Teams • Brand Reputation & Certification • R&D Team for Ergonomics & Battery Tech • Digital Infrastructure • High Quality Raw materials - components	Value Propositions • High Durability and Reliability. • Ergonomic, lightweight tools – demanding professional or hobby use. • Trusted “Made in Germany” branding. • Product longevity reduces tool replacement costs over time. • Simple, intuitive operation with professional –grade power. • Transparent pricing (pay for quality, not brand’s name).	Customer Relationships • Regular check-ins, quick service response, training for facility staff. • Responsive online customer service, user tutorials, DIY clubs, and warranty follow-up. • Feedback loops for continuous product refinement. • Educational content	Customer Segments 1. Property Maintenance Firms (DACH + Benelux) 2. High-End DIY Enthusiasts (45–65, Urban, Western Europe)
Cost Structure • Cost of high-quality materials, production (Manufacturing and assembly costs), and strict testing for reliability. • Expenses for developing new ergonomic features, batteries, and smart tool technology. • Costs for sales teams, online marketing, advertising, trade shows, and influencer partnerships. • Costs to provide customer support, repairs, replacements, & honor warranties. • Shipping, warehousing, and delivery costs to customers and			Channels • Direct B2B Sales • E-commerce Store • Specialty Retail Stores (for DIY Enthusiasts) • Events & Trade Shows • Digital Influencer Marketing	
		Revenue Streams • Direct Sales (Facility Firms and DIY Enthusiasts) • Rental/Leasing Contracts (Facility Maintenance Segment) • Accessory & Spare Parts Sales • Extended Warranties & Premium Service Packages • Online DIY Content/Workshops (Value-Added fo r Enthusiasts)		

Product Evaluation Using the Lifecycle Model



Strengths (Maturity Stage):

- Strong "Made in Germany" reputation.
- High durability and reliability.

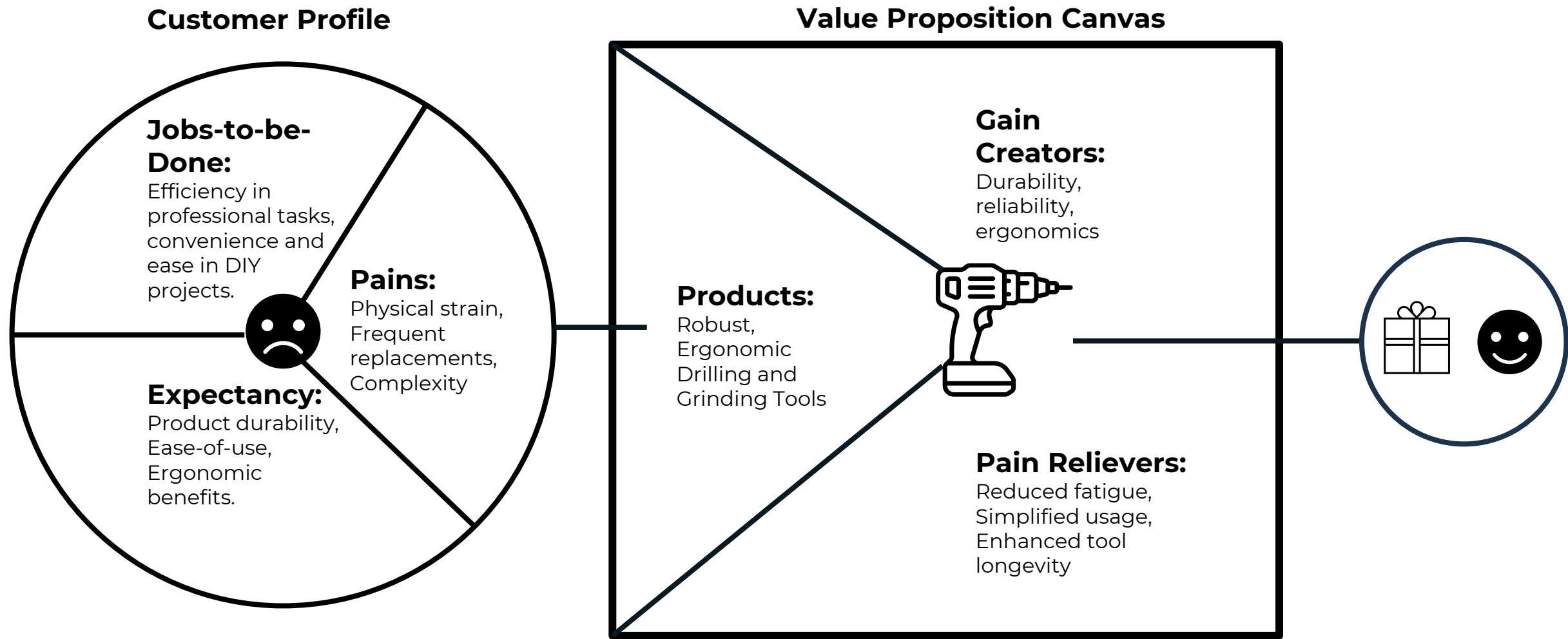
Weaknesses (Risks in Maturity):

- Limited innovation in ergonomics and battery technology.
- Weak marketing and brand visibility.

Opportunities (Innovation for Renewal):

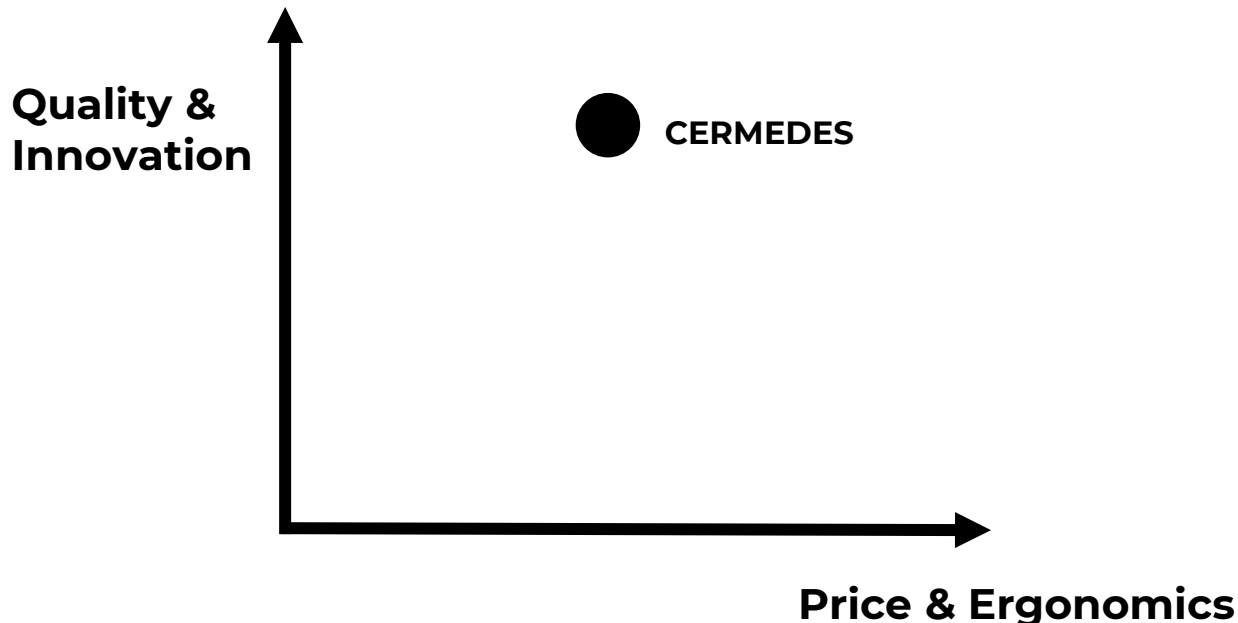
- Integration of ergonomic and multi-functional features.
- Development of cordless tools with Lithium-ion technology.

Crafting the Value Proposition



Positioning Strategy & Brand Differentiation

Premium German power tools
built for **precision,**
durability &
professional performance



Points-of-Difference (PODs):

- ❑ Exceptional product durability
- ❑ Ergonomic and innovative features
- ❑ German manufacturing quality

Points-of-Parity (POPs):

- ❑ Professional-grade performance
- ❑ Broad functionality



THANK YOU

Routes to Foreign Market

Group 04

Chia Jung Lee

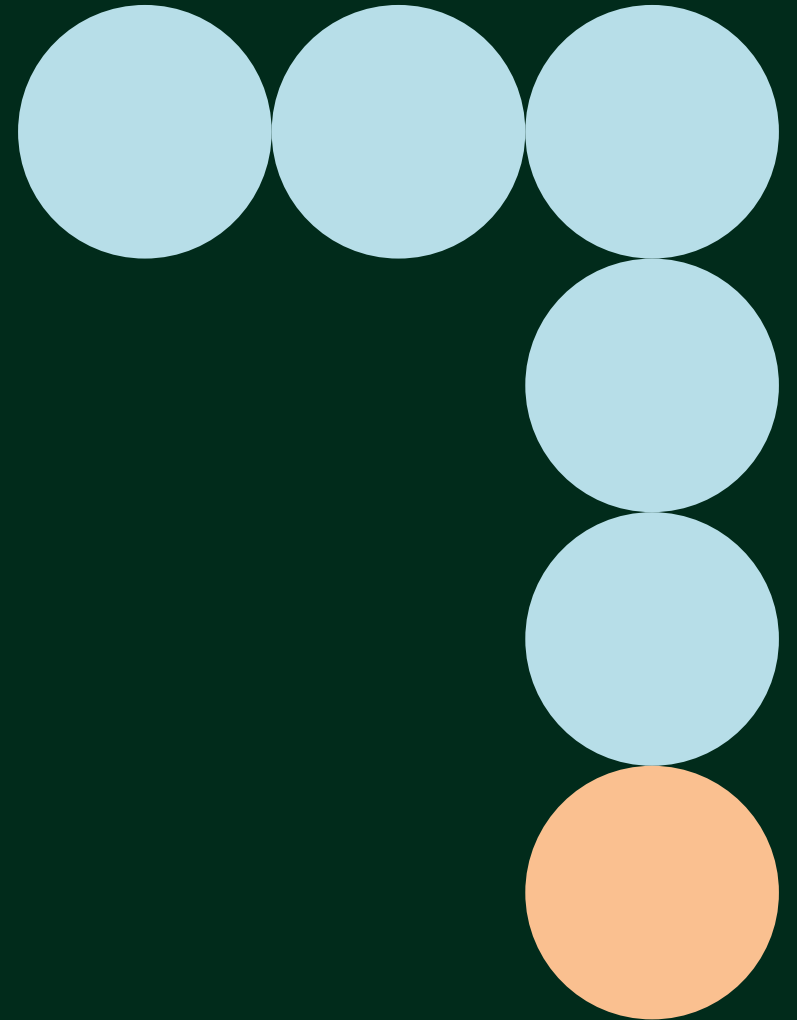
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MAY 2025

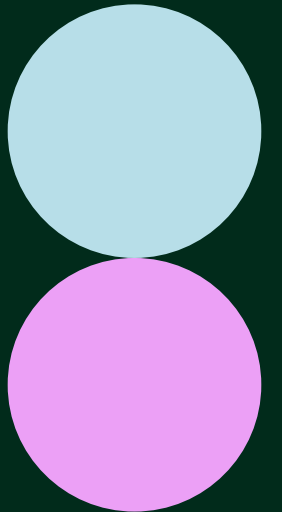
“In the world of global business, the question is not whether to go international, but how”

Peter Drucker



Agenda

- Introduction
- Export Modes
- Intermediate Entry Modes
- Wholly Owned Subsidiaries
- Literature Review
- Article of Significance (Non-Traditional Modes)
- References



Going International

WHY?

WHEN?

HOW?

01

Seek new
markets

02

Access to
resources

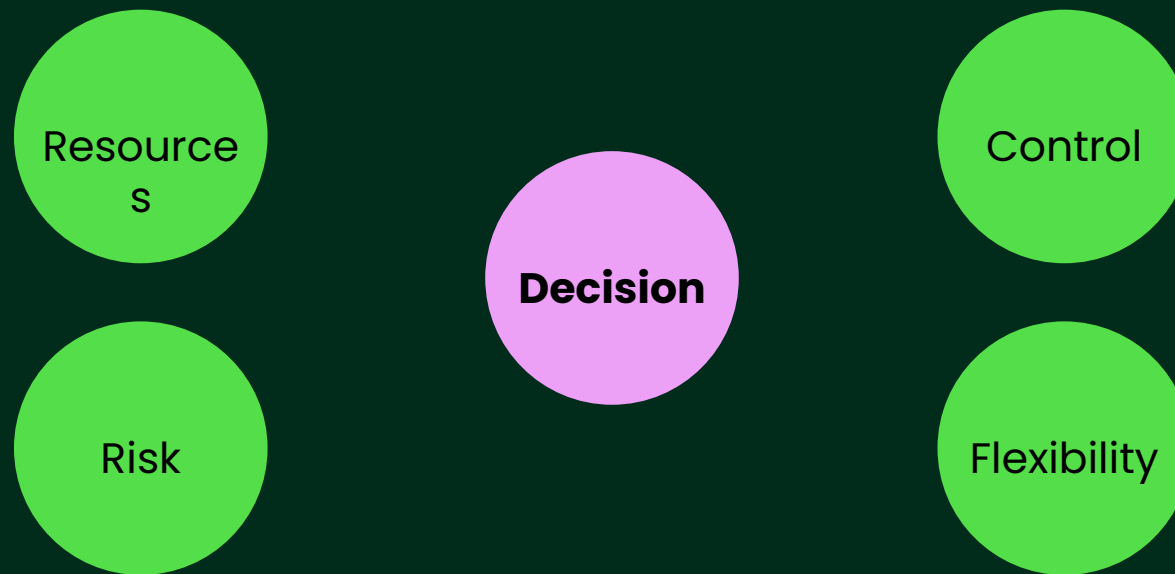
03

Competitive
advantages

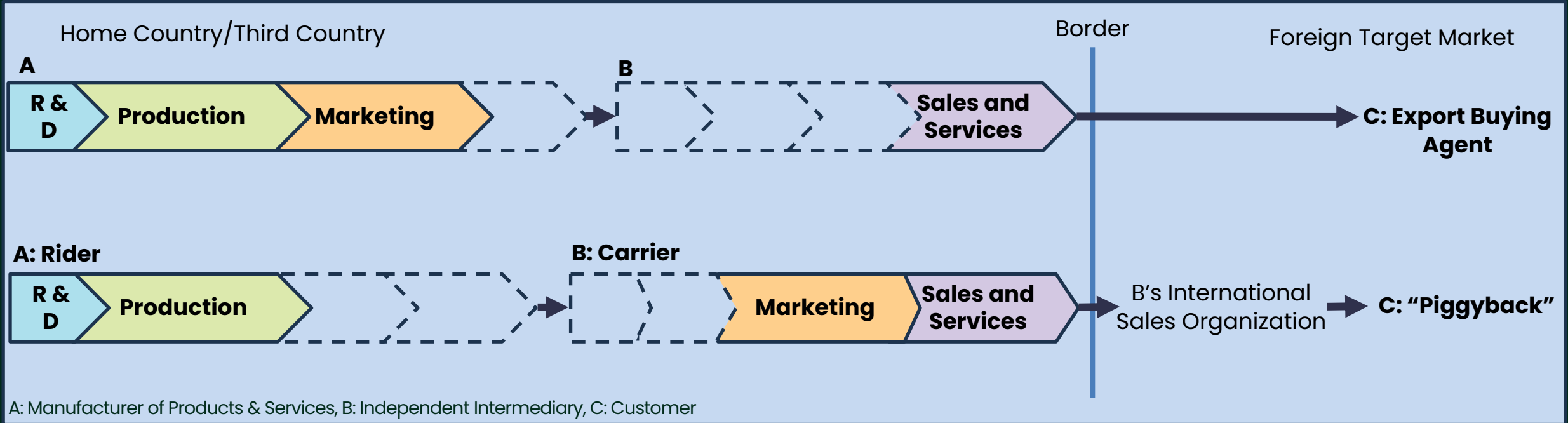
Global expansion is no longer optional—it's strategic

Entry Modes

“Choosing the right entry mode can mean the difference between global growth and international failure”



Indirect Export Modes



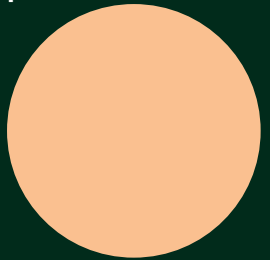
Low Cost & Minimal Risk vs Lack of Control & Poor Market Feedback

Reliance on Intermediaries in the Home Country

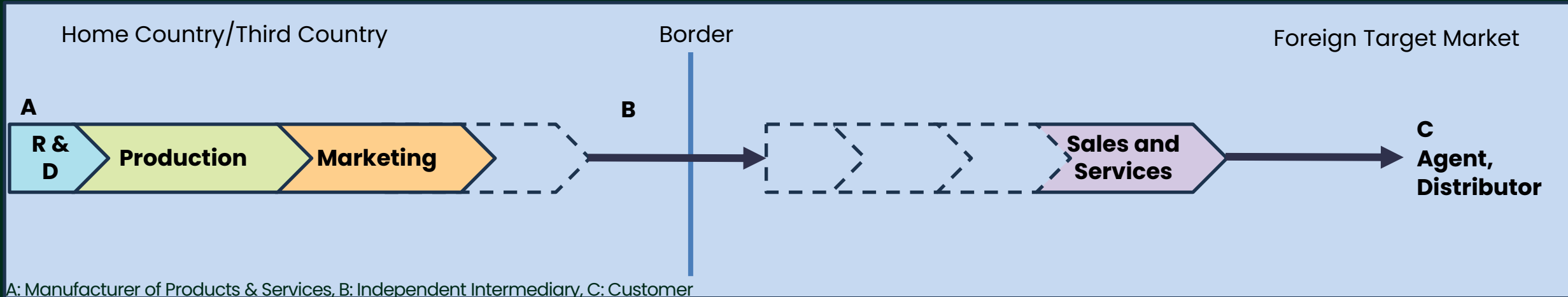
- Export Buying Agents
- Brokers
- Export Management Companies (EMCs)

Piggybacking – Small Medium Enterprises (SMEs)

An SME (the "Rider") utilizes the established distribution network of a larger company (the "Carrier") for exporting its products to a foreign market.



Direct Export Modes



Direct Engagement

Manufacturer sells directly to Agents/Distributors in Target Market.

- More control
- Better market knowledge

Distributors

Distributors buy and sell, they own some type of Inventory. They have higher degree of Independence.



Agents

Earning commission on the products they sell.

- Higher Resource Commitment
- Need for International Expertise

Decision Factors – Indirect vs Direct

Advantages and Disadvantages of Indirect and Direct Export Modes for the manufacturer

Export Mode	Advantages	Disadvantages
Indirect Exporting (Buying Agent, Broker, or Export Management Company)	• Limited Commitment • Market Diversification • Experienced Exporter Internationalization • No prior experience required • Minimal risk	• No Control Over Marketing Mix – Product focused • Complex Distribution Chain • More members – smaller manufacturer's profit • Lack of foreign market knowledge chance • Commercial Selling – Limited product experience
Direct Exporting (Distributor or Export)	• Access to foreign market Experience • Contacts beyond borders • Shorter distribution chain (than in Indirect) • More Control Over Marketing Mix • Local selling support and services	• Tariffs! – Tough without know-how • Distributors – Weak pricing influence (no control) • Investments in Sales • Possible trade restrictions • Cultural differences

Indirect best for: SMEs, limited resources, testing new markets

Direct best for: Firms with experience, need for market control

Examples



- Direct Export via Distributors (e.g. Racke GmbH in Germany)
- Decision involvement, e.g. switching from one importer to another



- The company outsources export activities, rather than managing them directly.
- These Intermediaries are often located in India.



The world today – Trade Barriers and Export

- Trade wars and tariffs impact mode selection.
- U.S. – China tariff war led firms to shift from direct exports to indirect channels via third countries.
- Firms mitigate geopolitical risk via export mode adjustments.

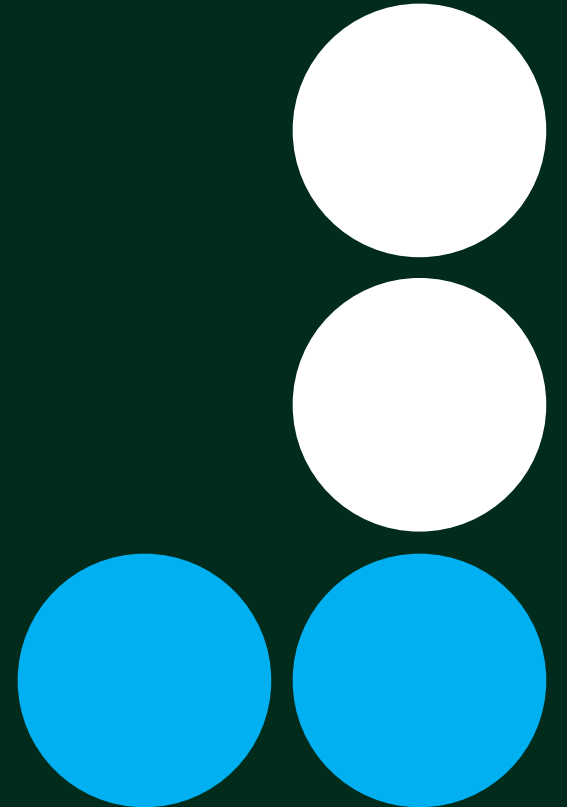


“Tariff uncertainty and firm export strategies”
Journal of International Business Studies

Cooperative Export Modes

Export Marketing Groups

*"Firms with complementary products
cooperate on downstream functions (e.g., distribution, marketing)
while maintaining independent upstream
production"*



Cooperative Export Modes

Why Not Sell Myself?



Exporting & marketing in the name of an association



Freight, negotiating rates and chartering ships



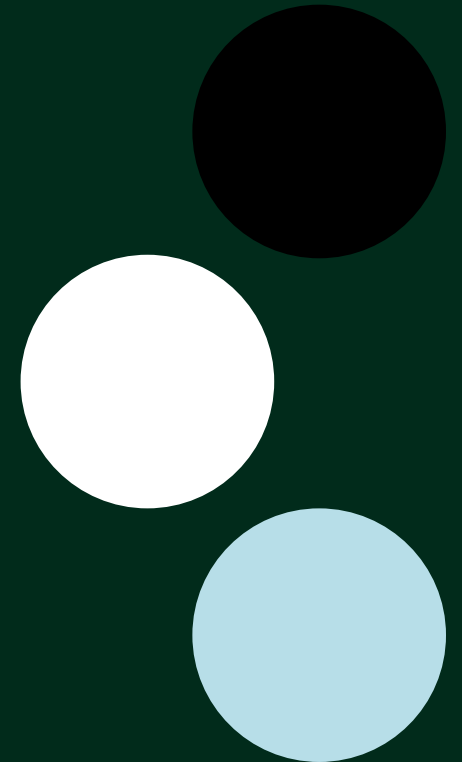
Allowing uniform contracts and terms of sale



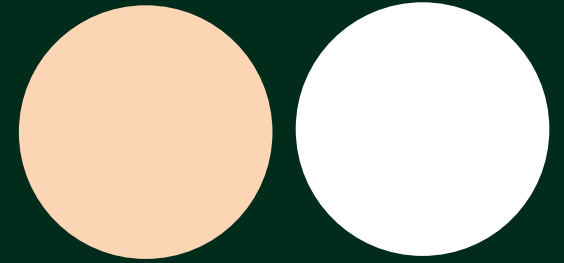
Setting prices for export



Allowing cooperative bids and sales negotiation

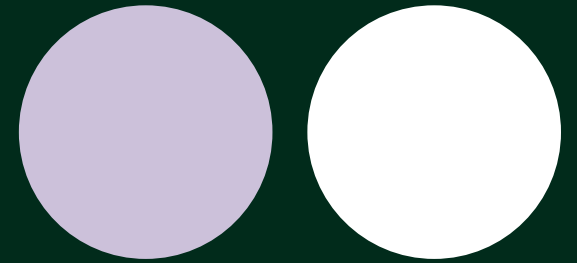


Cooperative Export Modes Example



Cooperative Export Modes

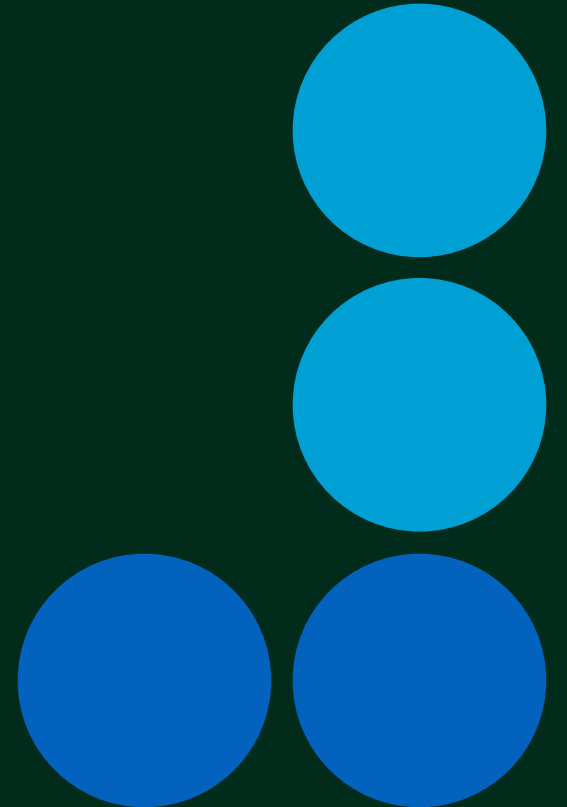
Advantages & Disadvantages



ADVANTAGES	DISADVANTAGES
✓ Shared risks: Shared costs & risks of internationalization ✓ Providing comprehensive solutions: Complete product line or system sales ✓ Access to Larger Buyers: Create a stronger brand name	✗ Conflict of interest: Associates might have different objectives ✗ Letting go: SMEs reluctant to give up their independence ✗ Free-Rider Problem: Lazy members benefit without contributing

Contract Manufacturing

"Hiring a local factory to make your product while you control branding/sales"



Contract Manufacturing

Why Produce Abroad?



Desirability of being close to foreign customers



Foreign production costs are low

Such as labor & materials



Transportation costs may render product noncompetitive

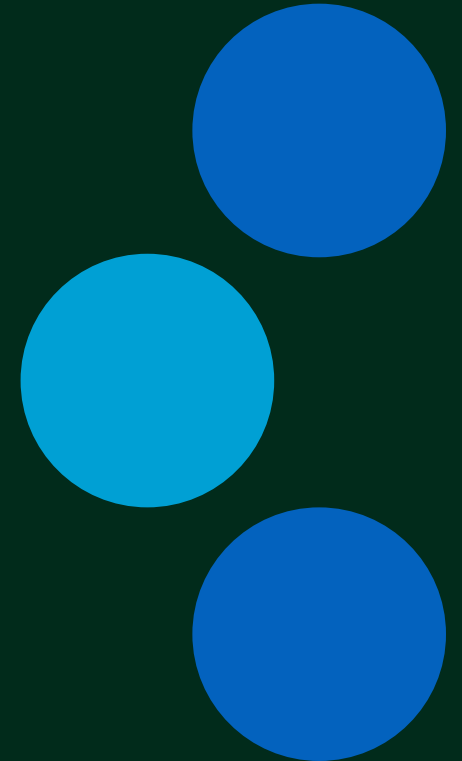
E.g. heavy or bulky products



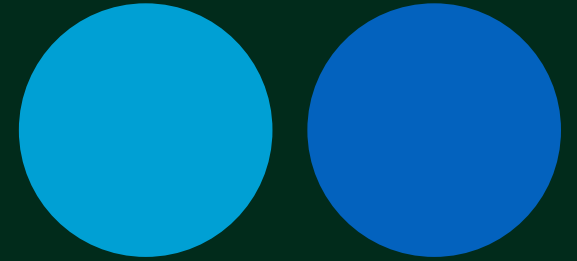
Tariffs or quotas can prevent entry of an exporter's products



Government preference for national suppliers

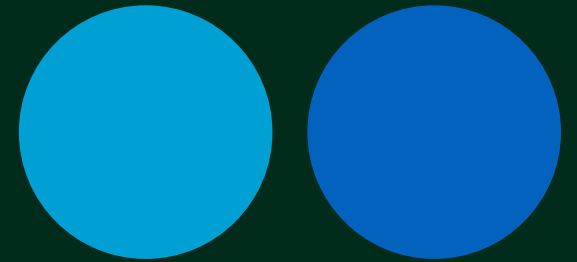


Contract Manufacturing Example



Contract Manufacturing

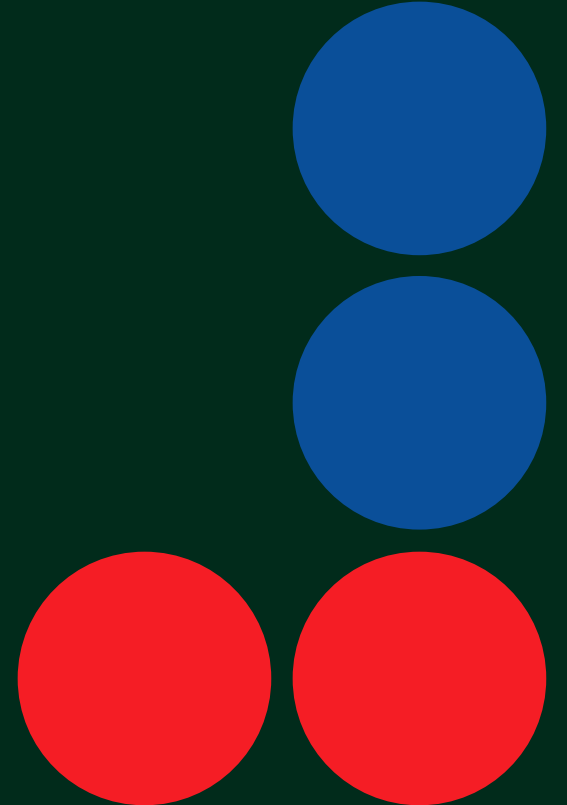
Advantages & Disadvantages



ADVANTAGES	DISADVANTAGES
✓ Saving costs: No equity investment ✓ Keep control over brand image: R&D, marketing and distribution ✓ Flexibility & risk reduction: Easily switch manufacturers	✗ Quality control & standardization: Risking brand image over manufacturer ✗ Hidden costs: Audits, training and logistics ✗ Dependency: Contractors may steal designs or raise prices

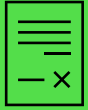
Licensing

"Renting your brand/tech to a local partner for royalties."



Licensing

Licensing Agreement



A patent covering a product or process



Manufacturing knowhow not subject to a patent



Technical advice and assistance

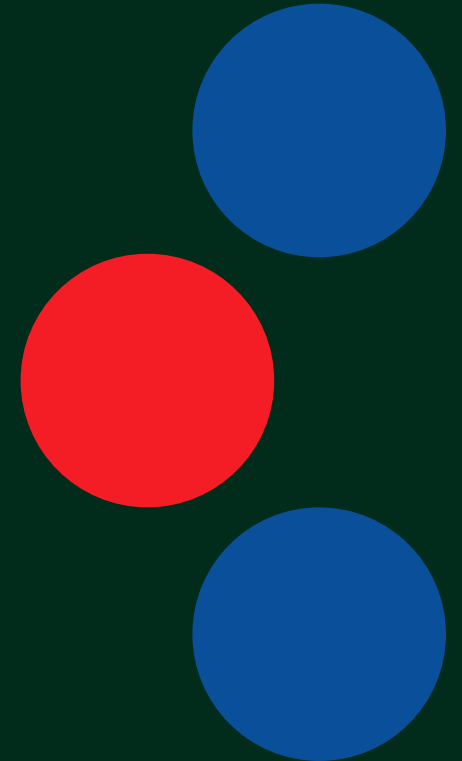
including the supply of components, materials or plant



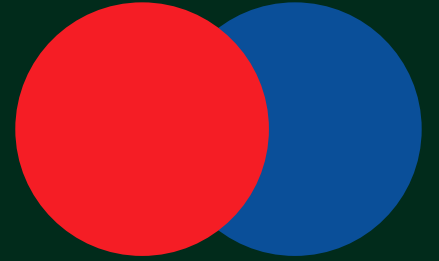
Marketing advice and assistance



Use of a trademark/trade name



Licensing Example



TOSHIBA ELARABY



PRODUCTION

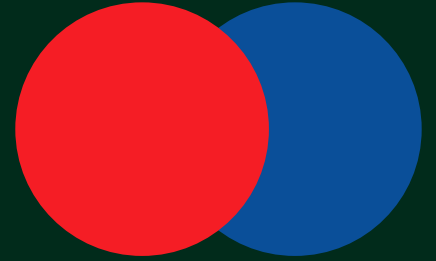


MARKETING



SALES & AFTERSERVICE

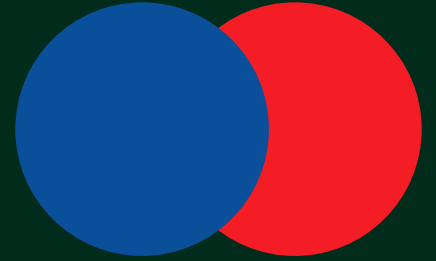
Licensing Example



TOSHIBA ELARABY



Licensing Example

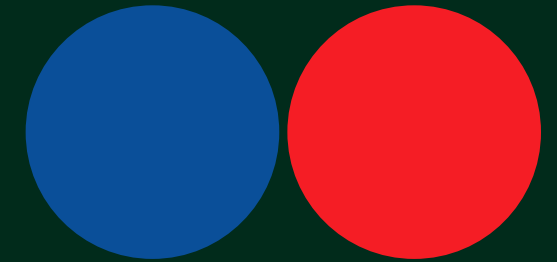


ELARABY TORNADO



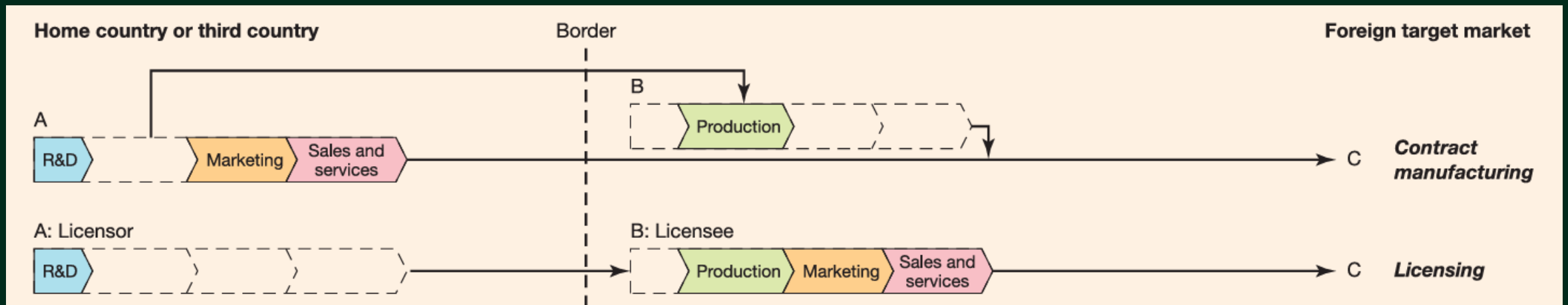
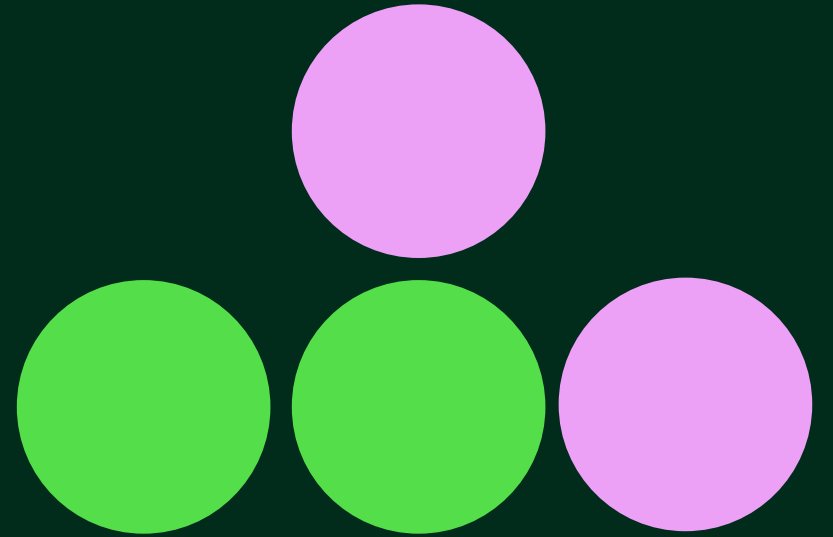
Licensing

Advantages & Disadvantages



ADVANTAGES	DISADVANTAGES
✓ Licensing stretches product life cycles: Old models reused ✓ Zero production costs: Royalties fund R&D ✓ Bypass trade barriers: No tariffs on locally made goods.	✗ Tech leakage: Licensees can become competitors ✗ Brand dilution: Over-licensing harms reputation ✗ Limited control: Licensors lose grip on quality and pricing

Recap



Franchising

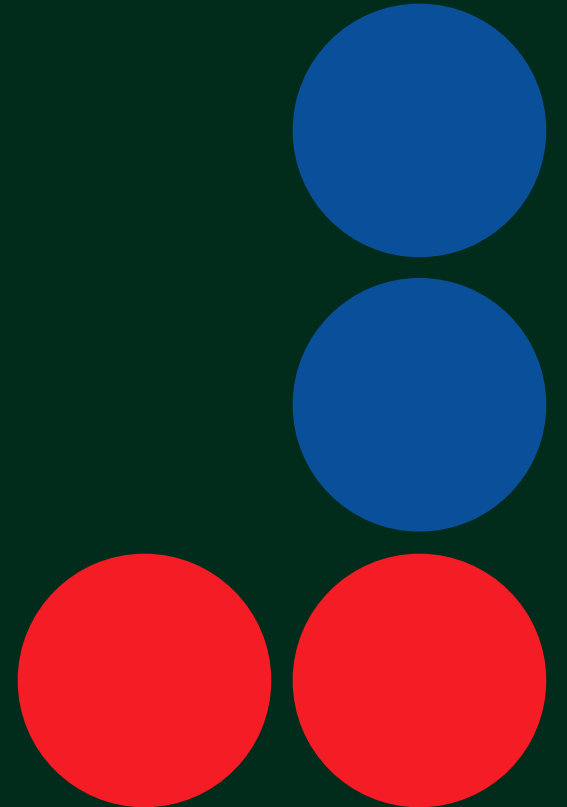
*"A business model where a brand **licenses its operations to independent operators for a fee**"*

Franchise – The right to use a specific business name & sell goods/services under that name

Franchisor – The company that grants the license to use its trade name, trademark & business system

Franchisee – The individual or entity that purchases & operates the franchise

Franchising – A cooperative relationship between the franchisor & the franchisee to operate under a shared brand



Franchising Agreement



Franchisee pays an initial fee & ongoing royalties based on sales



Franchisee must follow the franchisor's operational guidelines & quality standards



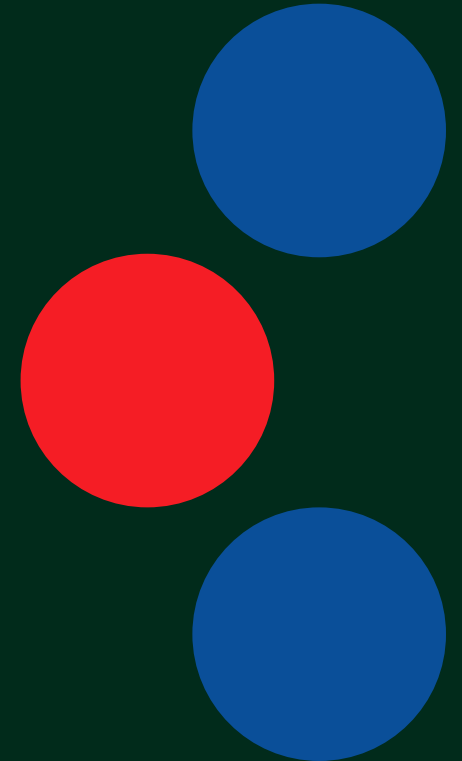
Franchisor provides support in areas like training, branding & sometimes setting up facilities



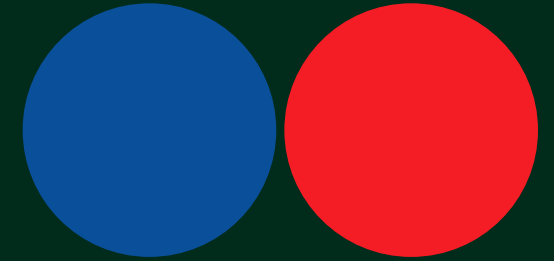
Agreements typically include territorial rights, duration, renewal terms & conditions for termination



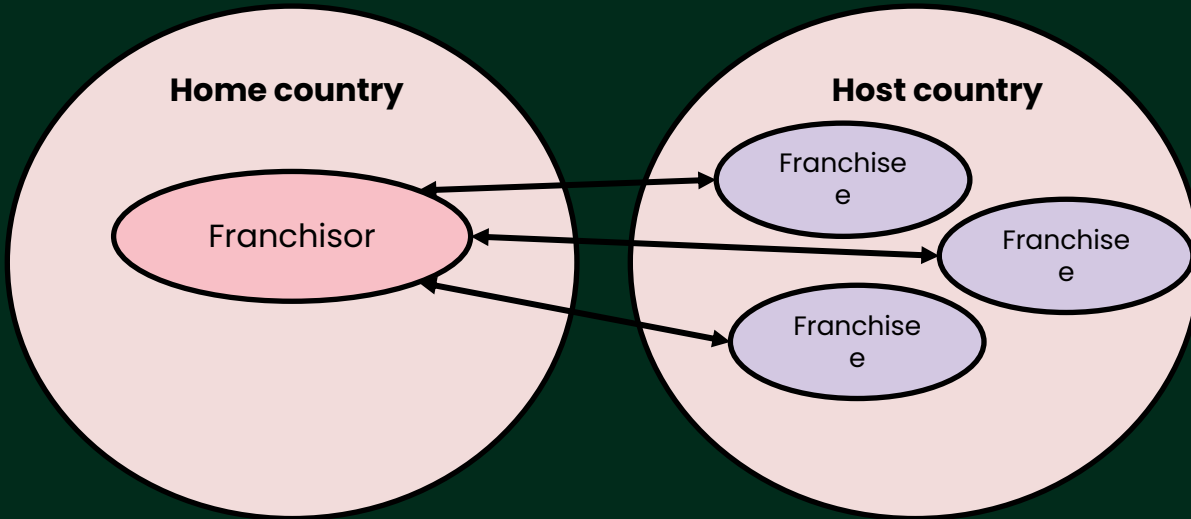
Franchisor retains ownership of trademarks, business systems & intellectual property



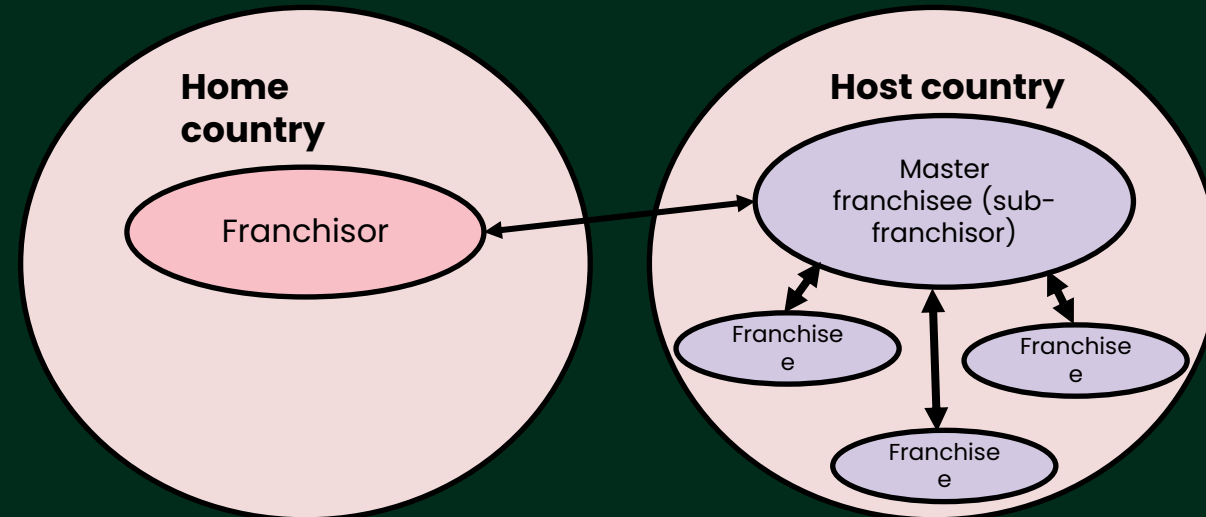
Types of Franchising



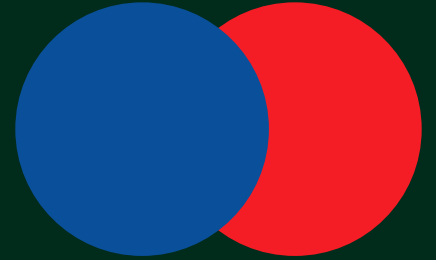
Direct Franchising



Indirect Franchising



Franchising Examples



MCDONALD'S

- ❑ Fast Food Restaurant
- ❑ 38,000 franchises in 100+ countries
- ❑ Founded in 1955
- ❑ Franchising started in 1955

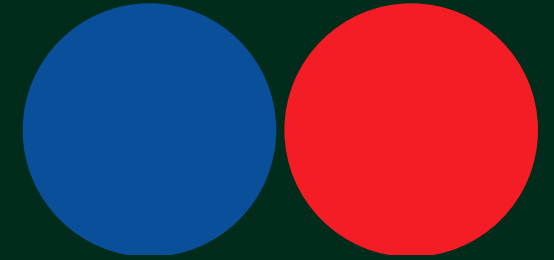
FRANCHISE

SUBWAY

- ❑ Fast Food Restaurant
- ❑ 37,000 franchises in 100+ countries
- ❑ Founded in 1965
- ❑ Franchising started in 1974



Advantages & Disadvantages



ADVANTAGES

✓ Low financial risk

Investment & operational costs borne by the franchisee

✓ More control than licensing

Franchisor can enforce brand standards & operational procedures

✓ Rapid expansion

Multiple markets can be entered simultaneously

✓ Local Market Knowledge

Helps adapt offerings to local consumer preferences & culture

DISADVANTAGES

✗ Limited market opportunities & profits

Earnings depend on franchisee & local market conditions

✗ Possibility of creating future competitors

Trained franchisees may later start competing businesses

✗ Reduced flexibility & operational complexity

Standardization may limit innovation & slow adaptation

Balancing Standardization & Flexibility



Consistent brand identity (logos)



Unified customer experience across locations



Operational best practices



Centralized training & onboarding



Quality control & compliance



Localized marketing campaigns



Community engagement & sponsorships



Regional product/service adaptations



Local Language/cultural relevance

STANDARDIZATION

FLEXIBILITY



Franchise success lies in the balance – protecting the brand while empowering local innovation

Licensing vs. Franchising



Scope



Control



Support Provided



Business Format



Regulations



Examples

Licensing

Right to use intellectual property, trademark, tech

Minimal control by licensor

Little to no support

No standardized business operation

Fewer legal formalities

Disney licensing characters to toy companies

Franchising

Right to use brand, system & full business model

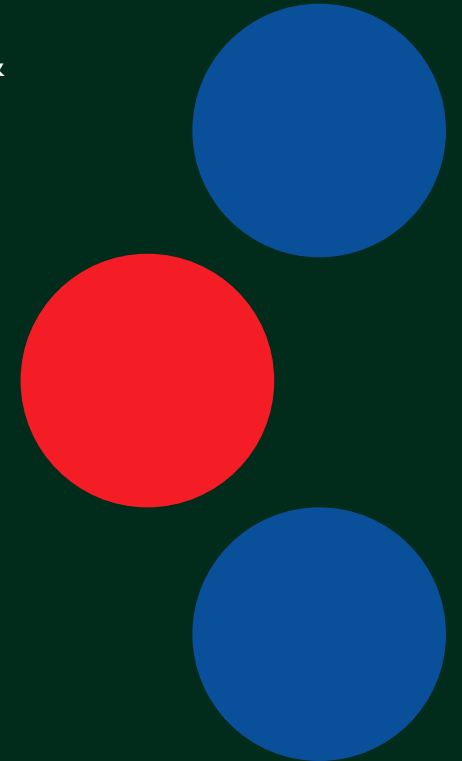
Significant control by franchisor

Extensive support (training, marketing, systems)

Standardized operations & branding enforced

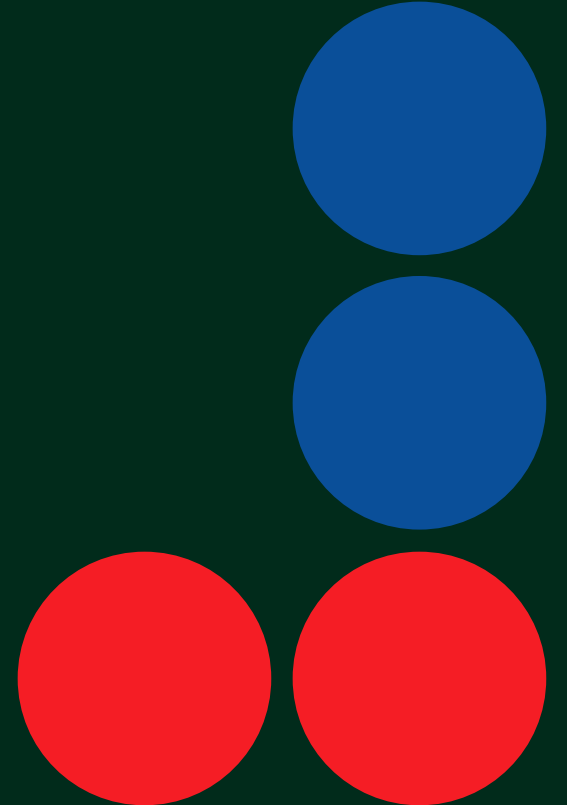
Heavily regulated (franchise laws)

McDonald's



Joint Venture

*"A business arrangement where **two or more parties** pool resources to accomplish specific objectives"*



Joint Venture



Entering new markets

- Leverage local knowledge and distribution networks



Reducing Costs

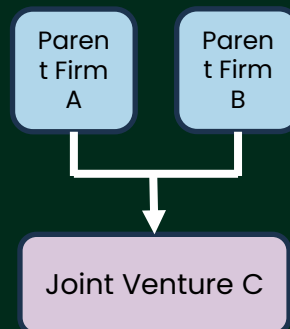
- Share production, R&D, or operational costs



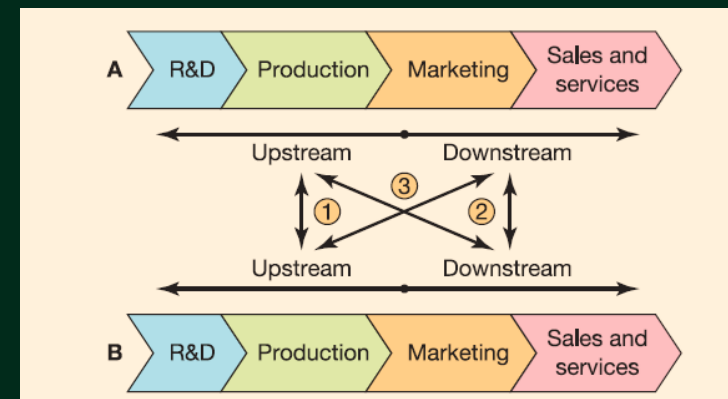
Technology & Innovation

- Collaborate on development and faster diffusion of technology

- **Equity-based**
(new entity
Joint Venture)



- **Contract-based**
(strategic alliance
=non-equity joint
venture)

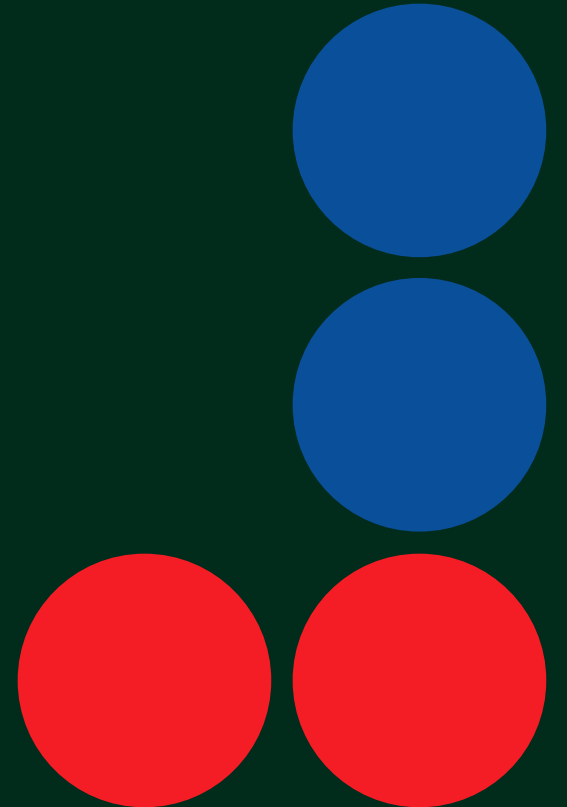


No.	Coalition Type	Description	Real-world Example
①	Y coalition	Upstream - A and B collaborate on R&D and production	Pfizer & BioNTech
②	Y coalition	Downstream - A and B collaborate on marketing, distribution, sales and/or service	
③	X coalition	A and B have different but complementary competences at each end of value chain	Apple & Foxconn

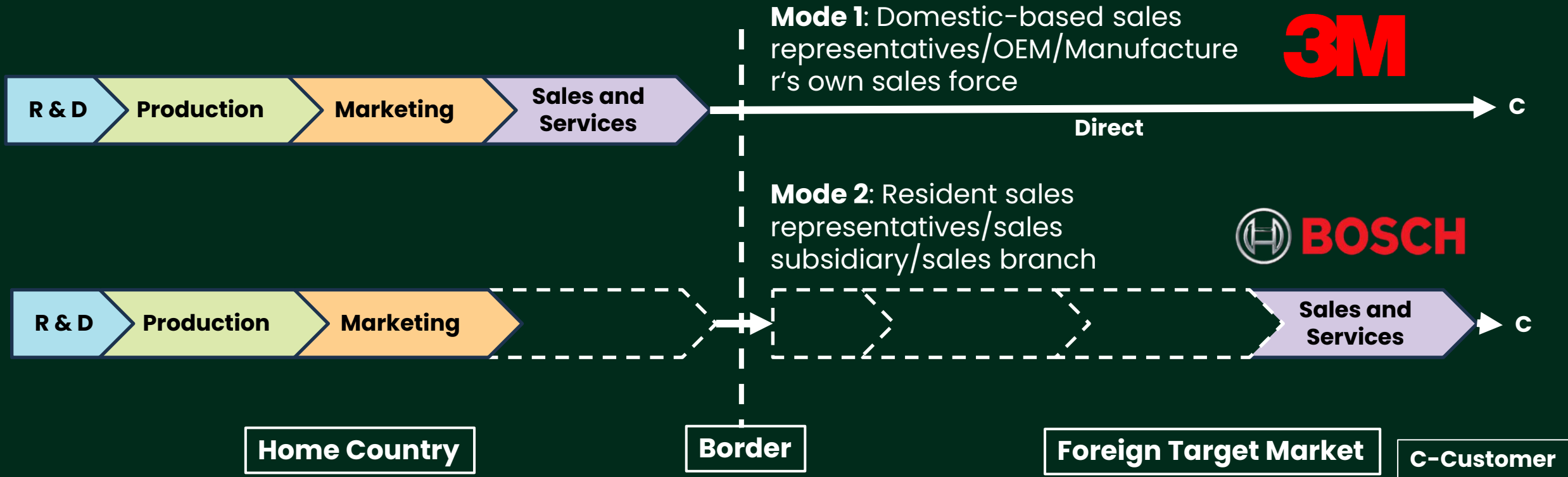
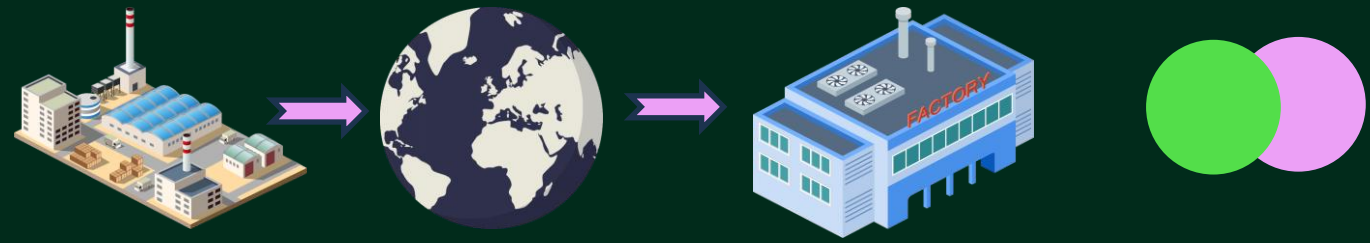
WOS Modes

(Wholly Owned Subsidiary)

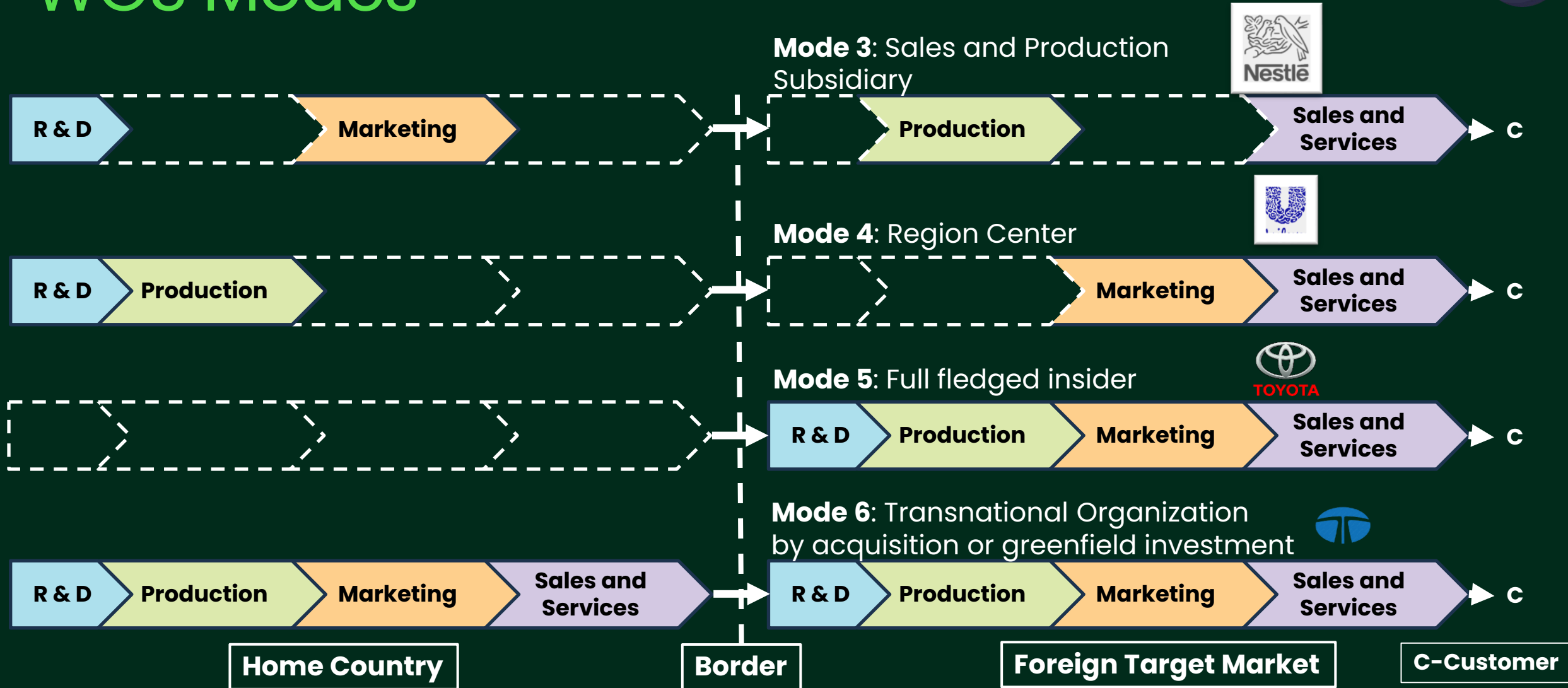
"Establishing and owning the foreign operation to maintain full control over strategy, resources, and outcomes."



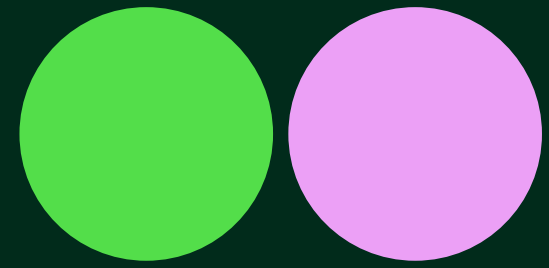
WOS Modes



WOS Modes



Zara's Global Entry Playbook



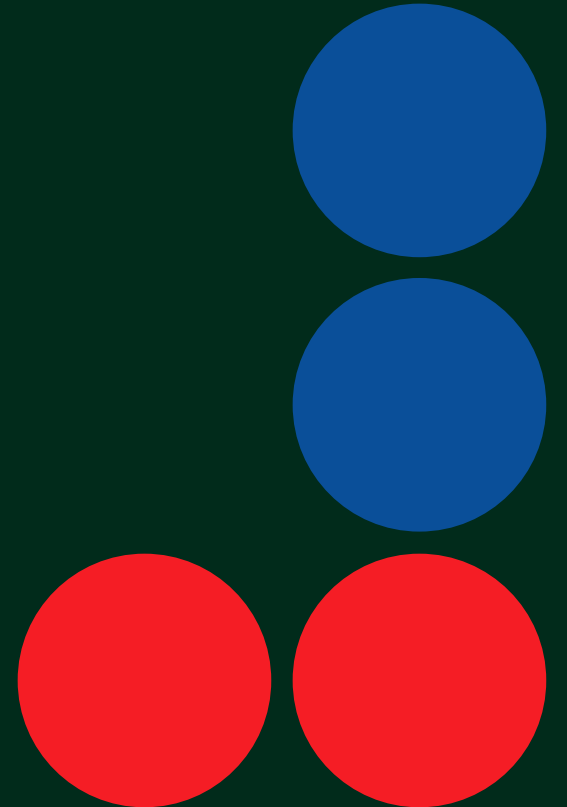
ZARA



Routes to foreign Market Literature Review

*Conducted Based on 5 step process
followed in:*

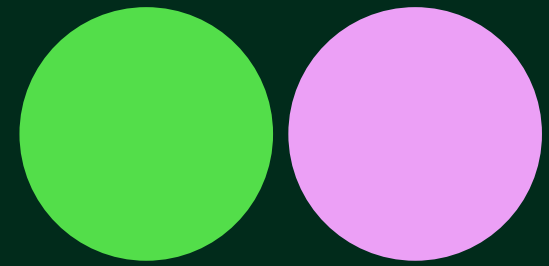
Schmitz/Urbano/Dandolini/de Souza/Guerrero, 2017:
Innovation and entrepreneurship in the academic setting: a
systematic literature review, in: International Entrepreneurship
and Management Journal 13, 369–395.



Step 1 – Search Keywords

Goal: Identification of keywords related to “Routes to foreign Market”

Sources used for identification: Pre-reading materials



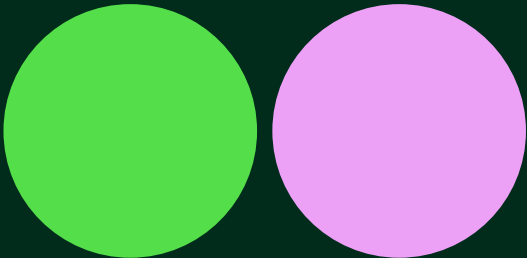
Primary keywords chosen:

"entry mode", "entry strategy", "global strategy", "routes to market",
"international trade", "international business", "global market", "foreign
entry", "foreign market", "international market", "international joint
venture", "joint venture", "franchise", "foreign license", "license", "foreign
direct investment", "outsource", "acquisition", "market selection",
"internationalization", "relocate corporate", "Greenfield", "multinational".

Step 2 – Articles Search

Goal: Search relevant articles about “Routes to foreign Market” in the academic setting

Chosen Database: Web of Science (free source)



2.1 Boolean Search String:

(TS=("entry mode*") OR TS=("entry strateg*") OR TS=("global strateg*") OR TS=("routes to market") OR TS=("international *trade") OR TS=("international business*") OR TS=("global market*") OR TS=("foreign entry") OR TS=("foreign market*") OR TS=("international market*") OR TS=("international joint venture*") OR TS=("joint venture*") OR TS=("franchis*") OR TS=("foreign licens*") OR TS=("licens*") OR TS=("foreign direct investment") OR TS=("outsourc*") OR TS=("acquisition*") OR TS=("market selection") OR TS=("internationalization") OR TS=("relocat* corporate") OR TS=("Greenfield") OR TS=("multination*"))

Total initial output from Web of Science: 3738 Articles

2.2 WOS Filters Used:

Parameter	Selection
Selection	TS topic based (title, keyword, abstract)
Language	English
Publication Date	2014-2025
Document Type	Article
Web of Science Categories	Economics, Management, Business, Business finance
Publication title sources	Journal of International Business Studies, International Business Review, Journal of World Business, Strategic Management Journal, Journal of International Marketing, Long Range Planning, journal of business research, Journal of marketing channels

Step 2 – Articles Search

Goal: Search relevant articles about “Routes to foreign Market” in the academic setting

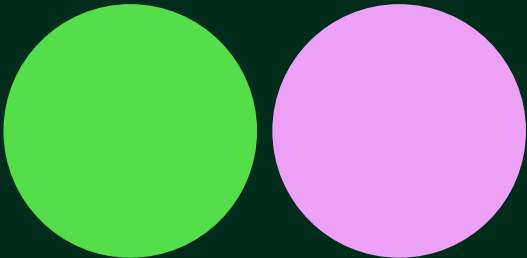
Chosen Database: Web of Science (free source)

2.3 Excel Filters Used:

Parameter	Selection
Times Cited, All Databases	Greater than 50
Since 2013 Usage Count	Greater than 150

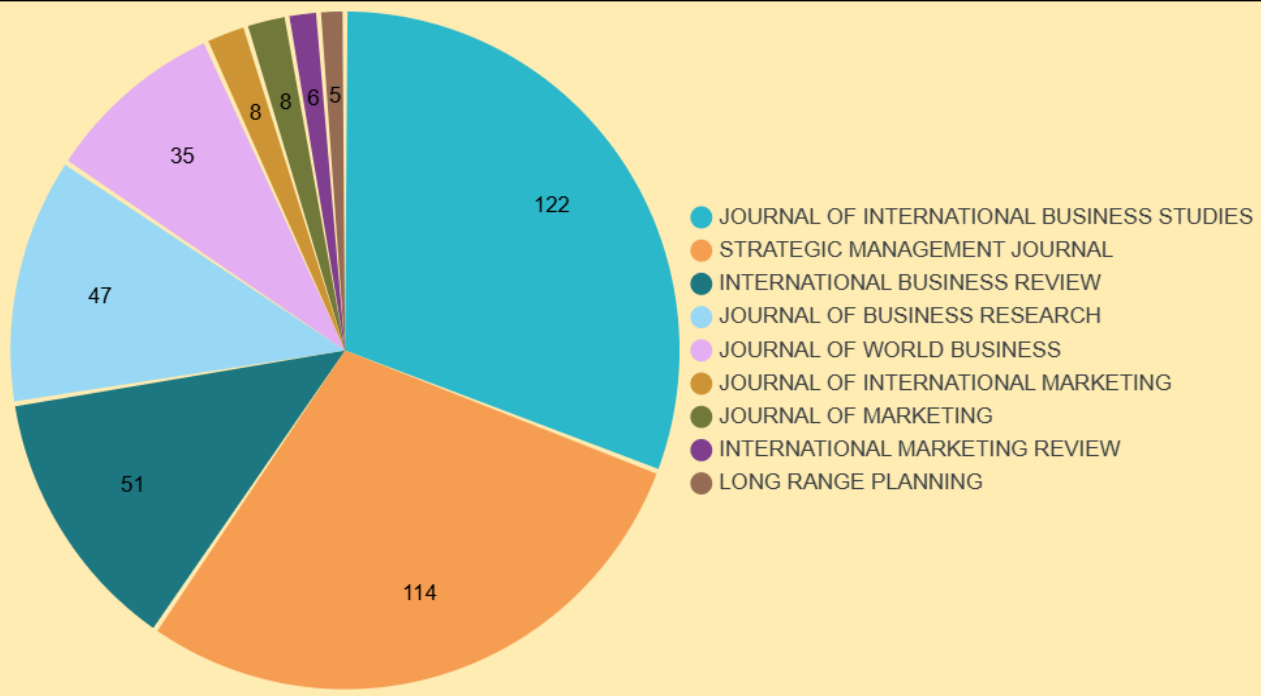
Final output after filtration:
396 Articles

Step 3 – Bibliometric Analysis

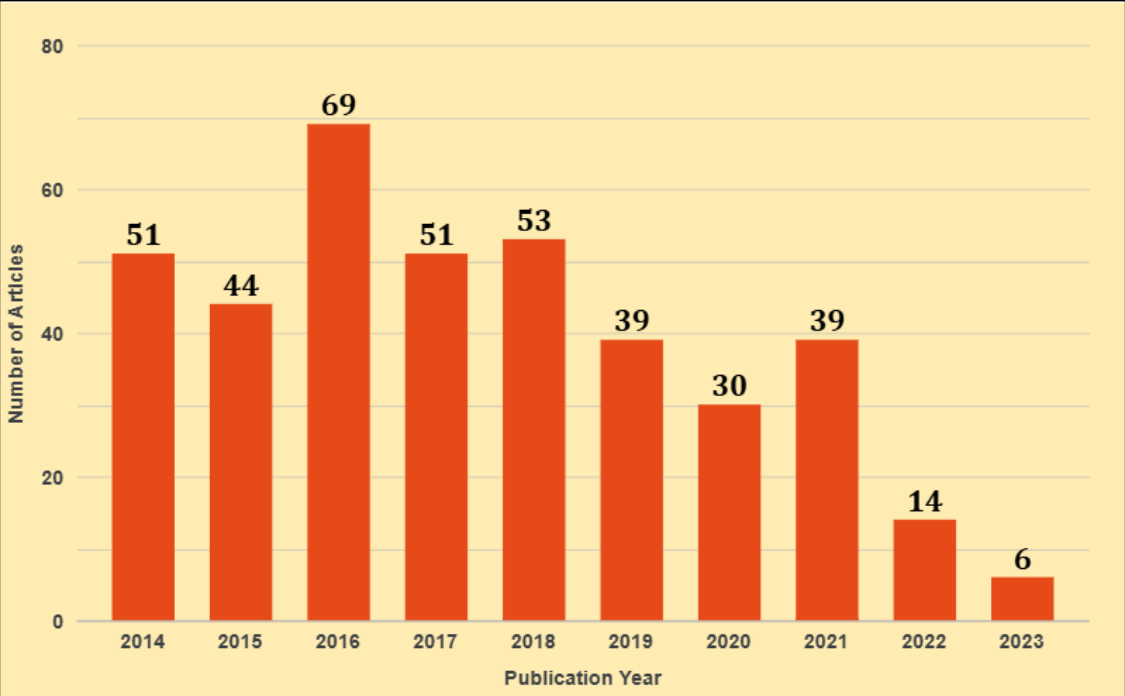


Goal: Analyze patterns and trends from the 396 Articles using columns like publication year, journal, author keywords, citation count, etc.

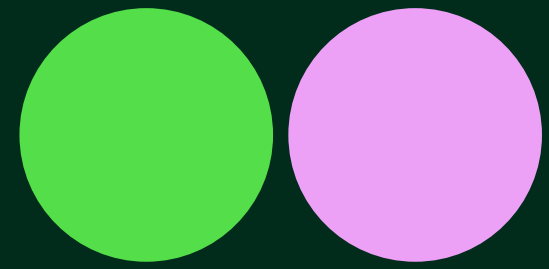
Top Journals by Publication Count



Publication Trend Over Time



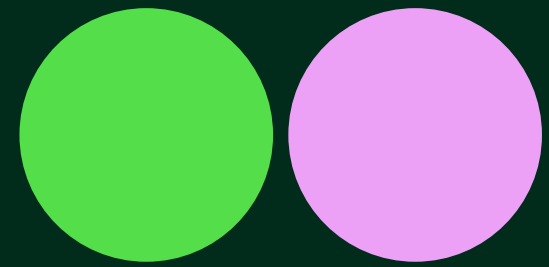
Step 4 – Article Selection for Content Analysis



Goal: Selection of 30 articles best fitting the objective of the study.



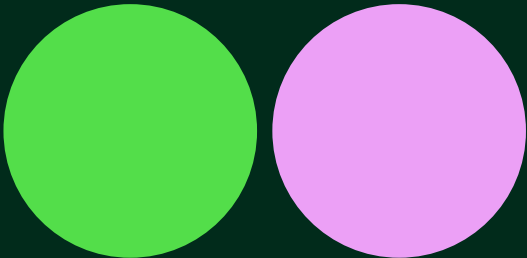
Step 5 – Content Analysis– Terms/Frameworks



Goal: Identification of terms, definitions, theoretical frameworks, and research gaps & trends.

Terms	Frequency
Internationalization	60
Entry mode	23
Market entry	15
Foreign market	11
Acquisition	9
Foreign direct investment	4
Embeddedness	3
Non-traditional entry	2

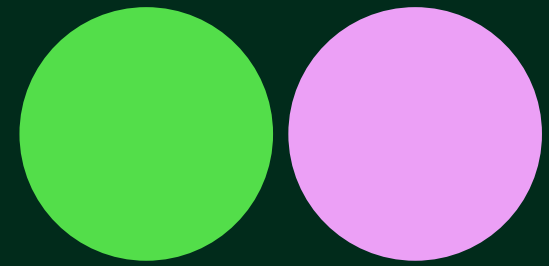
Step 5 – Content Analysis– Terms/Frameworks



Goal: Identification of terms, definitions, theoretical frameworks, and research gaps & trends.

Theoretical Framework	Frequency (Out of 30)	Summary
Uppsala Model of Internationalization	6	Firms internationalize gradually through learning and experience ; commitment increases with knowledge.
Transaction Cost Economics (TCE)	5	Firms choose entry modes that minimize transaction costs in uncertain or opportunistic environments.
Eclectic Paradigm (OLI Model)	5	Entry mode depends on Ownership, Location, and Internalization advantages.
Resource-Based View (RBV)	4	Entry is based on leveraging unique, valuable internal resources and capabilities.
Institutional Theory	3	Entry strategy is shaped by host country's formal/informal institutional environments .
Dynamic Capabilities Framework	2	Firms adapt and reconfigure resources to respond to dynamic international environments.
Network Theory	2	Firms enter new markets through existing relationships and networks ; especially relevant for SMEs.

Step 5 – Content Analysis–Research Gaps/Trends



Underexplored Non-Traditional Entry Modes

Limited Integration of Digitalization in Entry Mode Theories

Weak Coverage of Emerging Markets as Entry Targets

Lack of Multi-Level or Mixed-Method Approaches

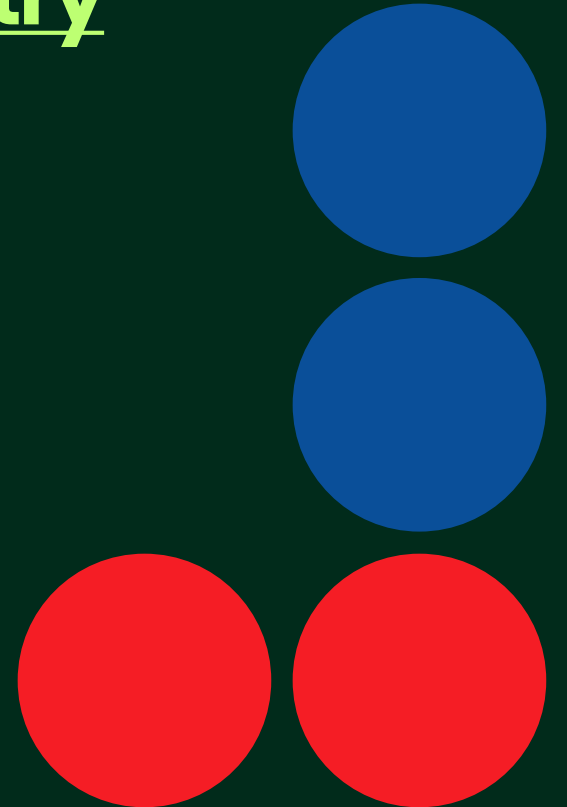
Limited Attention to SME and Startup Internationalization

Few Comparative Studies Across Industry Sectors

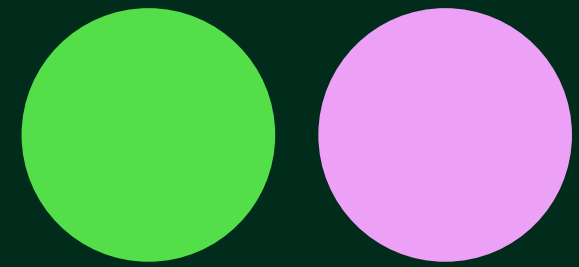
Charting new courses to enter foreign markets: Conceptualization, theoretical framework, and research directions on non-traditional entry modes.

Authors: Keith D. Brouthers, Liang Chen, Sali Li, and Noman Shaheer.

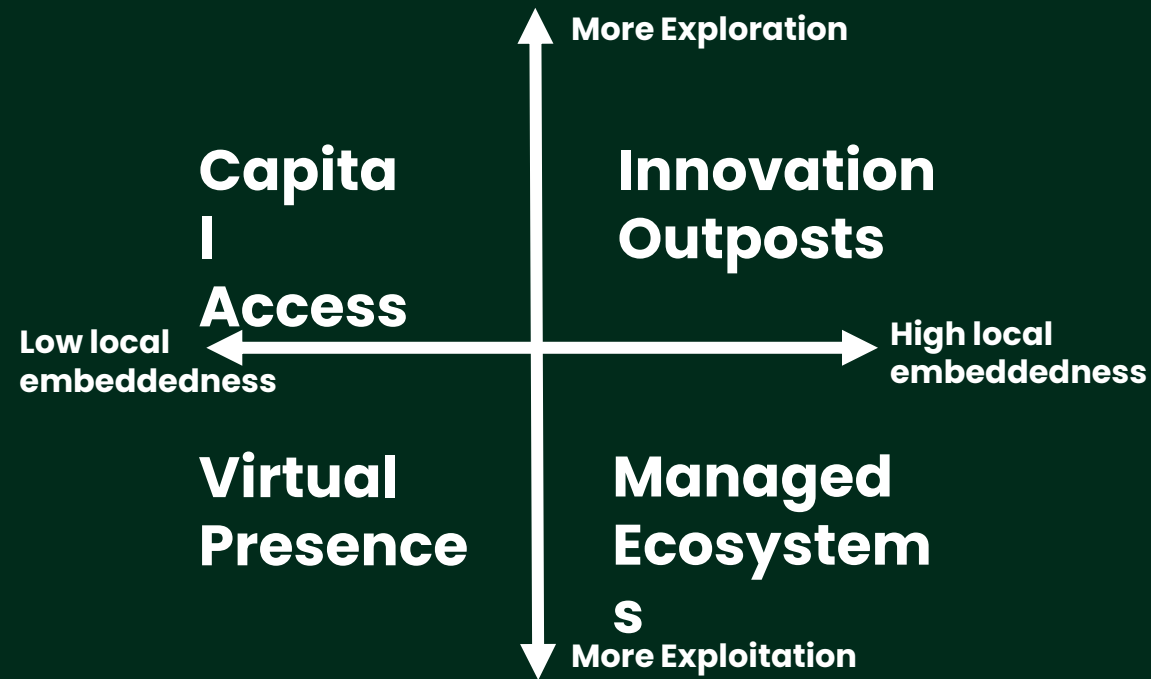
Source: Journal of International Business Studies (Vol. 53, 2022, pp. 2088–2115) – Published April 22, 2022



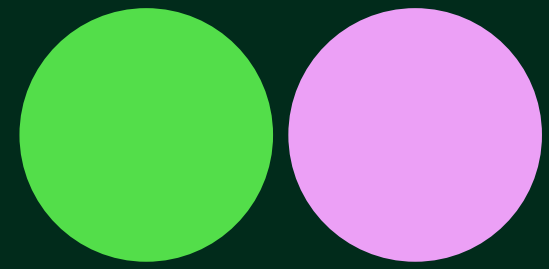
New Paths to Foreign Markets



Traditional $\xrightarrow{\text{Digital Evolution}}$ Non-Traditional



Capital Access–“Reverse” Foreign Direct Investment



“Entering a foreign market **financially** rather than physically”

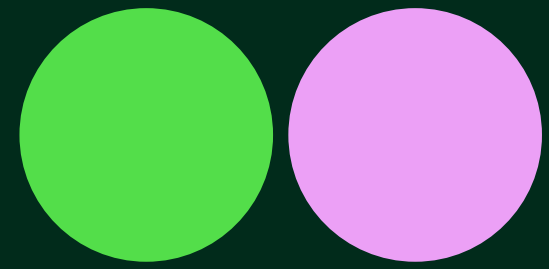
How It's Done: List shares on a foreign stock exchange, issue bonds or get loans abroad, or attract overseas venture capital and private equity

Why It Matters:

- Provides **access** to large pools of capital and often global credibility
- It's a **low-control, low-cost** entry mode.
- No new foreign subsidiary needed



Innovation Outposts – Global Idea Scouts



“Setting up a small **“listening post”** or **R&D team** in a foreign innovation hotspot to **scout** new ideas, **cutting-edge** technologies, or practices”



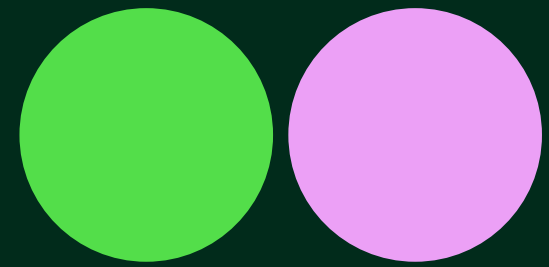
How It Works: The outpost team continuously **builds relationships** with local startups, universities, and experts – becoming **“insiders”** in the local scene

Contrast to Traditional:

- Instead of entering to generate sales, this mode enters to **import local knowledge**
- **No need** for distribution channels or immediate revenue



Virtual Presence – Going Borderless Online



“No physical entry, no local offices – the firm appears **“present”** to foreign customers purely via the internet”

How It Works: Acquire customers abroad through **platforms**. Deliver value electronically or ship products across borders **without** setting up local stores

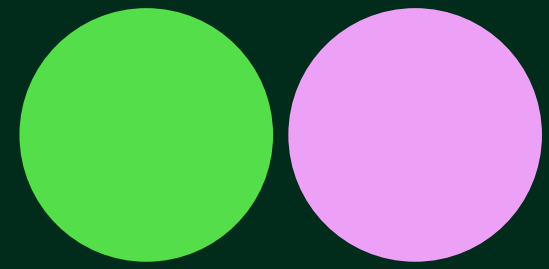


Contrast to Traditional:

- **No need** for local distributors, agents, or franchise partners
- **No spending** on foreign retail space or joint ventures



Managed Ecosystems – Platform Plays Abroad



“Entering foreign markets via a **multi-sided platform model**”



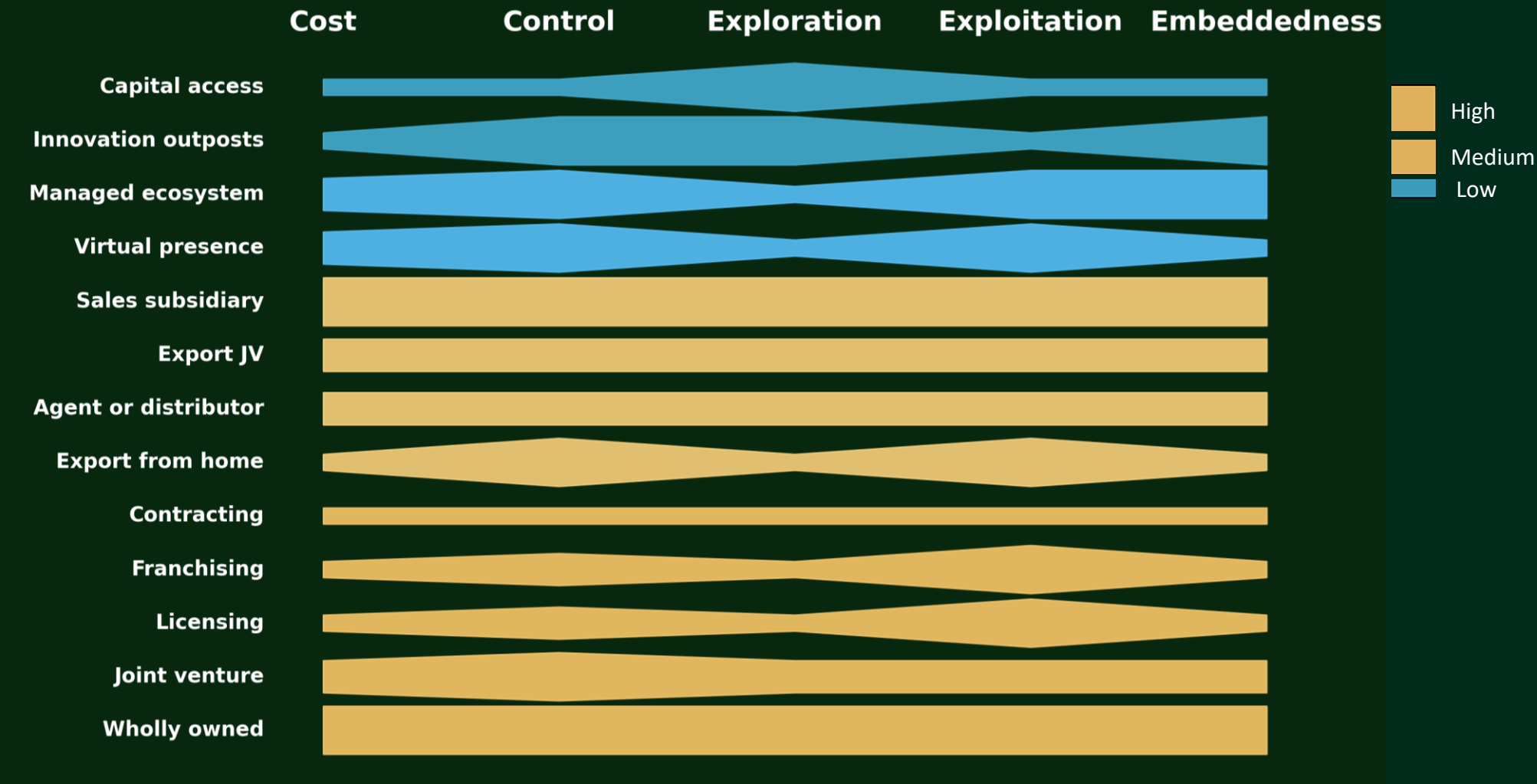
How It Works: The firm **bridges** foreign demand and supply by **extending its digital platform** into the target country, enabling local users and service providers to transact.

Contrast to Traditional:

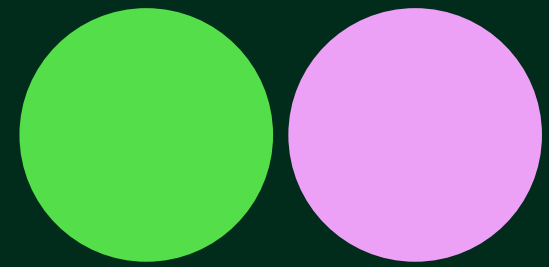
- Unlike a franchise or JV, the local contributors are usually independent actors who choose to use the platform **to attract customers**.
- Platform owns **no physical assets**.



Summary: Routes to Foreign Market

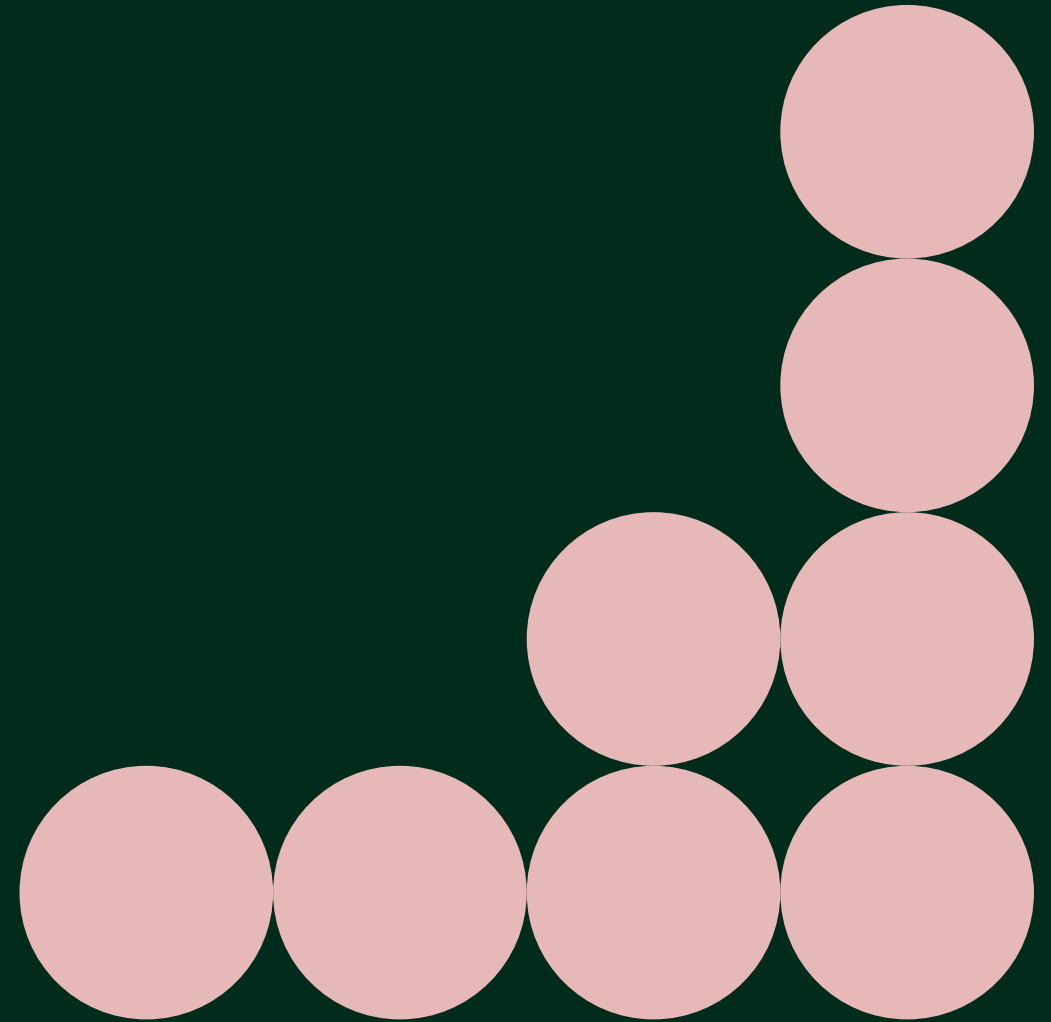


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2. Richter, N. F., Strandkov, J., Hauff, J. C., & Taras, V. (2022). *International business strategy and cross-cultural management: An applied approach*. Edward Elgar Publishing.
3. Brouthers, K. D., Chen, L., Li, S., & Shaheer, N. (2022). Charting new courses to enter foreign markets: Conceptualization, theoretical framework, and research directions on non-traditional entry modes. *Journal of International Business Studies*, 53(11), 2088–2115.

Thank you.





Cermedes

Applied Market-Class Presentations
18.05.2025

Group 04

Chia Jung Lee
Geetanjali Moorjani
Khaled Yaseen
Nikolaos Michail Stavrianos
Ravi Chaudhary
Youssef Kadry
& Anita Boatemaa Dogbatse (Group 03)

[CERMEDES CASE PAPER 1](#)

[CERMEDES CASE PAPER 2](#)

18.05.2025

CASE: Decide on one topic!

CASE

Provide the CEO of CERMEDES with advice on the following issues:

- Is internationalization a feasible^A option for CERMEDES?
- If CERMEDES should decide to internationalize (1) how would you approach the market selection? (2) How would you assess the opportunities in foreign markets and potential risks?
- Which markets would you select based on the information provided by the assistant?
- Identify whether the current distribution strategy serves the customers' needs, and whether there is enough control and/ or coverage!^B
- Evaluate further channels of distributions (such as e-business)! Critically assess potential conflicts!
- Give recommendations to improve distribution at CERMEDES!



16

75 min!

STRATEGY & MANAGEMENT GAME



Internationalization Process: Yes or No

Yes

1. Strong “Made in Germany” reputation (**valued abroad**)
2. Germany quality=strong **brand** anchor.
3. Location base near **Hamburg Port**=geographic and cost advantage
4. Premium quality, professional-grade products
5. Proven capabilities in **B2B sales, retail channels** and after-sales service
6. Market research indicating **substantial, compatible segments** in neighboring countries (facility maintenance, high-end DIY)
7. Limited growth potential if **restricted** only to Germany

Cermedes – Market Selection Process

Uppsala Model

- Gradual Internationalization
- Starting with Physically and Geographically close markets
- Increasing Resources Commitment as a company gains experience and reduce uncertainty

Cermedes – Uppsala Model Implementation

Step 1: Start with Low-Risk, Close Markest

- Begin in countries that are culturally, linguistically, and institutionally close to Germany (Austria, Flemish-speaking Belgium).
- Thus, reducing uncertainty and learning costs.
- DACH, BENELUX and Scandinavian Countries.

Step 2: Use Exporting and Agents

- Follow a low-control, flexible mode such as:
 - Direct/Indirect exporting via Distributors and Retailers
 - Use of local agents or partners
- This fits “Cermedes” medium firm size, allowing for:
 - Learning about local consumer behavior
 - Gathering market knowledge without big initial investments



Cermedes – Uppsala Model Implementation

Step 3: Gradually Increase Market Knowledge & Commitment

- As Cermedes learns from initial markets, it can:
 - Increase its control (e.g. by setting up a sales office or subsidiary)
 - Adapt products to better meet local preferences
 - Build local Brand recognition

Step 4: Expand to more Distant or Complex Markets

- Once confident, enter markets with greater psychic distance (e.g. French-speaking Belgium, Netherlands, Switzerland).
- These may require:
 - Product Localization (e.g. language, regulatory packaging)
 - More sophisticated logistics or premium positioning
 - Strategic partnerships or local staffing



Cermedes – Uppsala Model Implementation

Step 5: Feedback Loop

- At every stage, use market feedback to:
 - Refine product offerings (e.g. introducing cordless tools, ergonomic design)
 - Improve go-to-market strategy
 - Deepen customer relationships
 - Assess internal resource limits



Factors – Assessing opportunities in Foreign Markets

Risk: Cermedes should start in low-risk, politically and economically stable countries, reducing uncertainty in early expansion.

Control: Initially entering through indirect export or local partners offers lower control but aligns with Uppsala's gradual commitment approach.

Flexibility: Export-based entry modes allow Cermedes to adapt easily and exit if needed.

Host Country Factors: Attractive starter markets (e.g. Austria shares regulatory and infrastructure similarities with Germany)

Resource Commitment: Low-resource modes help Cermedes avoid over-extending its capacity early on.

International Expertise: With no international expertise, Cermedes benefits from learning-by-doing in nearby, familiar markets.



Factors – Assessing opportunities in Foreign Markets

Firm size: As a medium-sized enterprise, Cermedes must prioritize efficient, low-cost entry options.

Product Differentiation Advantage: Cermedes can leverage its German-made quality and ergonomic design to compete in quality-conscious markets.

Socio-Cultural Proximity: Cultural and linguistic closeness reduces communication barriers and eases adaptation.

Market Size: While smaller than Germany, the DACH and Benelux regions offer dense, urbanized, high-valued segments



Cermedes – International Market Prioritization

1st Wave: (Low Risk, High Fit)

- Austria
- Flemish-speaking Belgium

2nd Wave: (Growth Potential + Test)

- French-speaking Belgium
- The Netherlands

3rd Wave: (More Complex but premium)

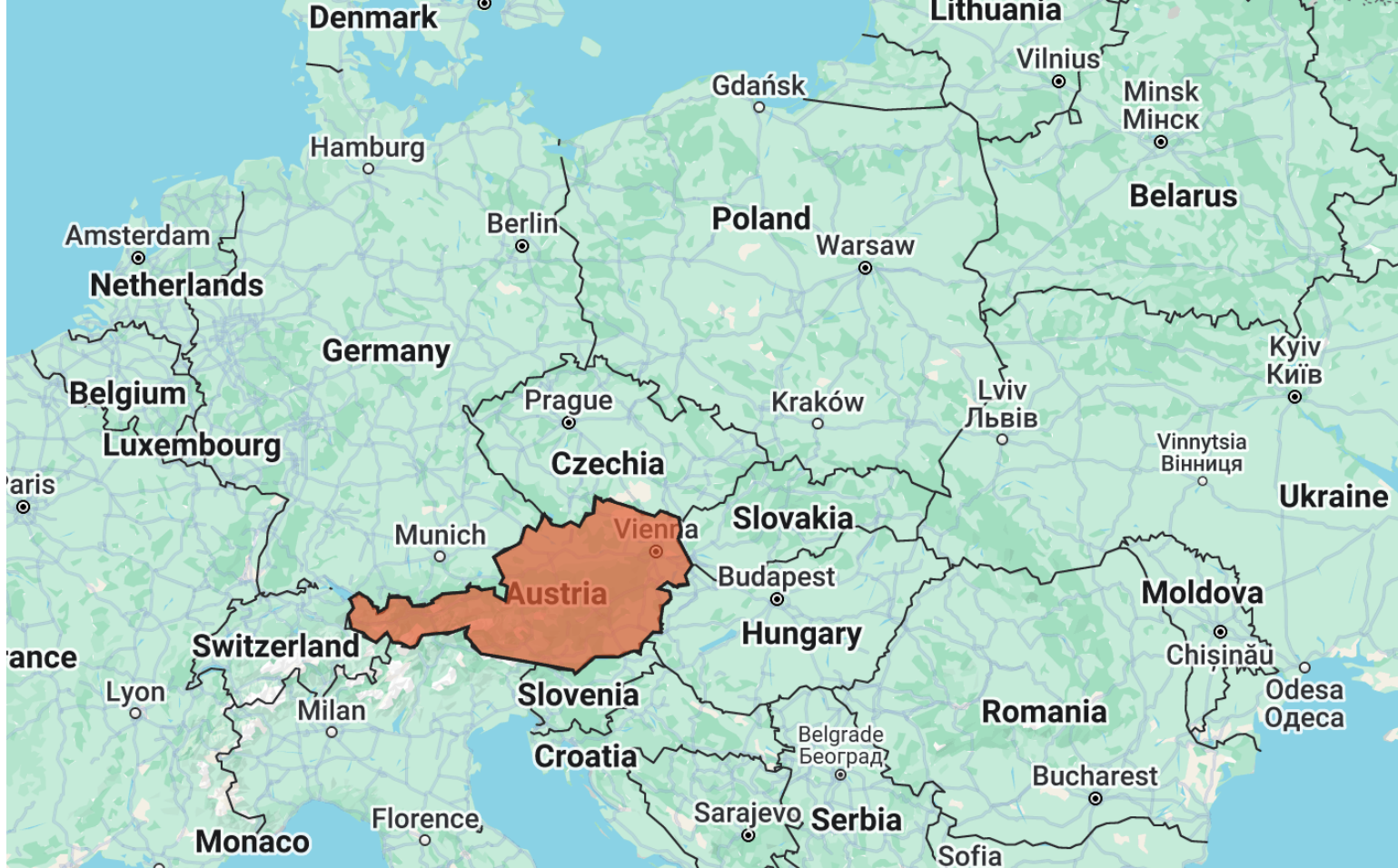
- Switzerland
- Scandinavia (starting from Denmark)

4th Wave: (Larger Market – Lower purchasing will)

- France
- UK



Austria



Why?

- Same language/culture,
- strong demand for quality tools
- high DIY activity
- low entry risk.

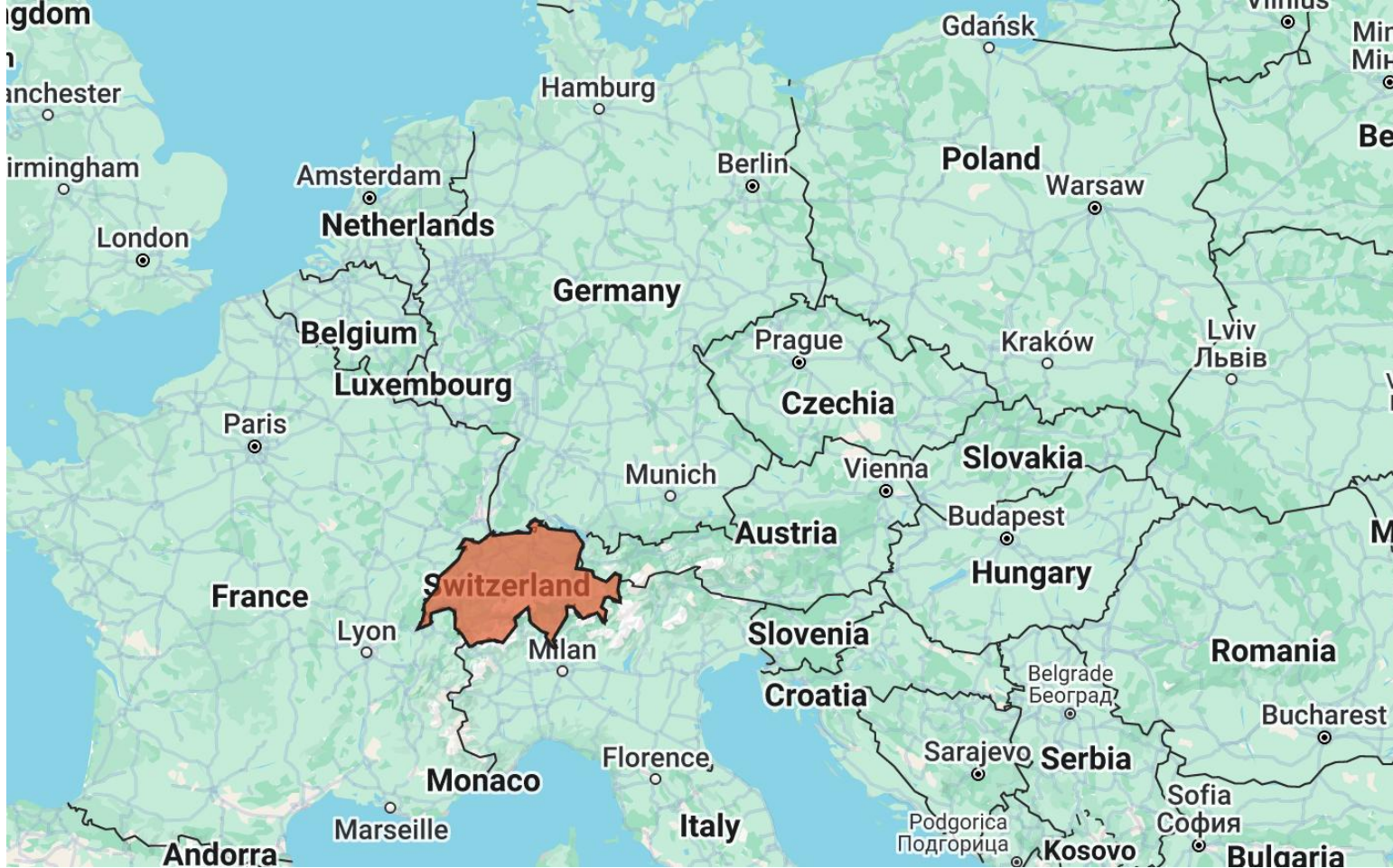
Netherlands and Belgium



Why?

- High urbanization,
- established facility service sector
- sophisticated DIY/hobbyist segment

Switzerland



Why?

- high maintenance needs
- strong German affinity.
- High purchasing power
- premium segment focus

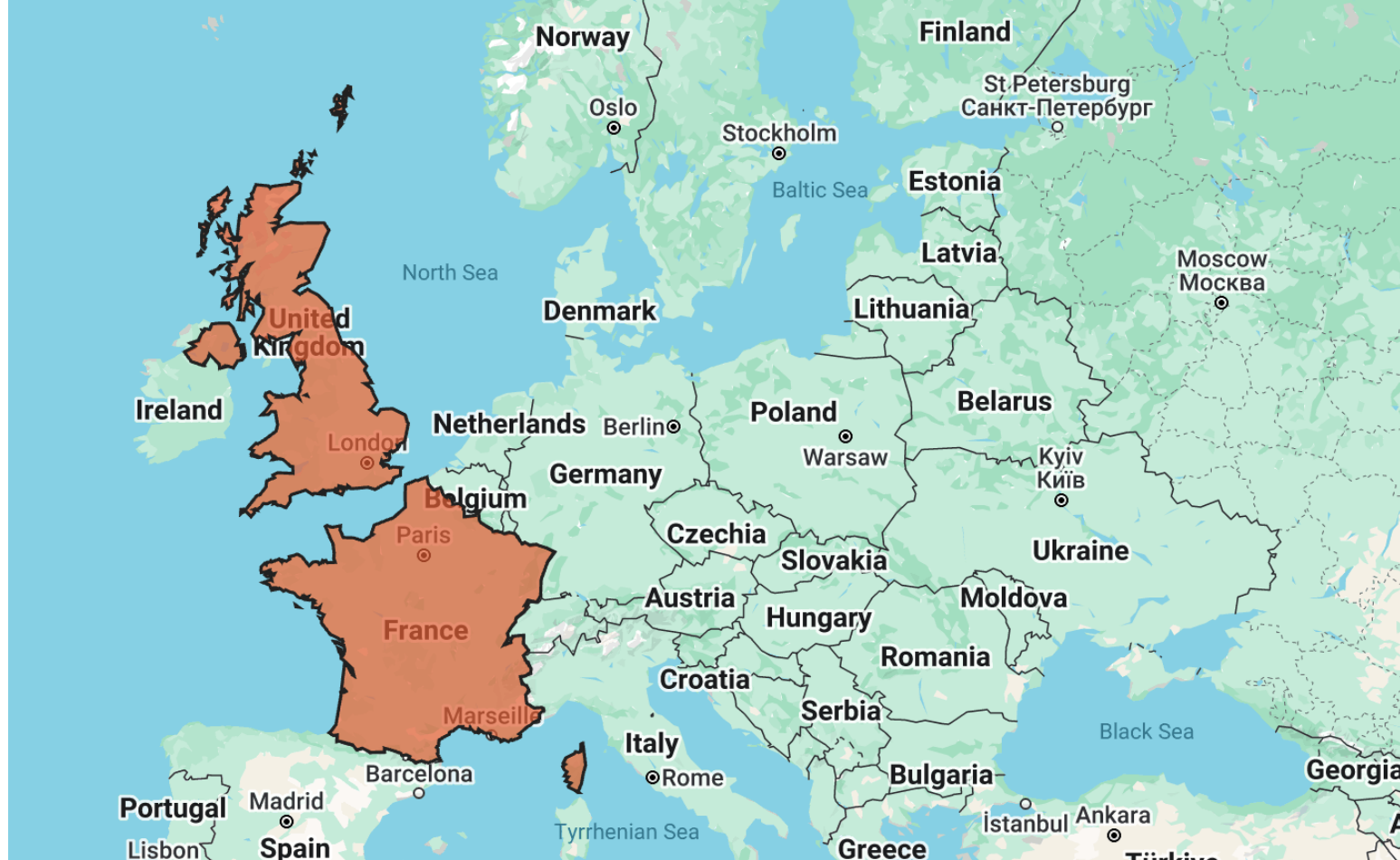
Scandinavia (Sweden, Denmark, Norway, Finland)



Why?

- Affluent
- Aging population
- Strong DIY tradition
- Appreciation for German engineering

France and UK



Why?

- Larger markets, but more competition/complexity
- Target after building experience

Customer Segment: A

Property Maintenance Firms in DACH + Benelux

Segment size

- 50,000+ firms in DACH + Benelux (Approx.)
- €40B+ facility maintenance market (DACH + Benelux)

Need and wants

- Reliable, durable tools
- Ergonomics & safety
- Fast after-sales support; EU/German compliance
- Flexible purchase/rental options

Segment growth

- 4–6% CAGR (Approx.)
- Growth from aging buildings, outsourcing, and sustainability investments

Buying process

- Centralized procurement
- Evaluates total cost of ownership, reliability, support
- Structured repeat contracts

Profitability

- High margin
- Low price sensitivity
- Recurring revenue via rentals/service

Success factors

- Product excellence & compliance
- Responsive after-sales
- Strong B2B relationships
- Trusted German plan

Customer Segment: B

High-End DIY Enthusiasts (Age 45–65, Urban in DACH + Benelux)

Segment size

- ~3–5 million affluent DIY hobbyists (Germany, Benelux, Scandinavia, UK); growing demographic

Need and wants

- Pro-grade quality; Ergonomic & lightweight design
- User comfort; Reliable after-sales
- Brand reputation

Segment growth

- Steady growth (aging, affluent population)
- Rising DIY trend and home/garden investment

Buying process

- Individual purchase
- Researches online, seeks reviews
- Prefers specialty retail or branded e-commerce

Profitability

- High willingness to pay
- Favors premium/value
- Repeat purchases, accessories, extended warranties

Success factors

- German engineering image
- Ergonomics & ease-of-use
- Online presence & community
- Excellent customer support

How is the distribution network?

Professional	DIY	Final Consumers
Weak Alignment Professionals prefer specialized retailers for expertise, service, and reliability, but Cermedes' reliance on wholesalers limits direct access to this segment. Gaps No dedicated partnerships with trade-specific distributors (e.g., construction suppliers), reducing visibility in professional networks.	Partial Alignment Specialist stores cater to DIYers, but Cermedes lacks presence in large DIY chains (e.g., Bauhaus, Hornbach) that dominate price-sensitive DIY sales. Missed Trends No online sales channels, despite growing DIY preference for e-commerce.	Limited Control Wholesalers and stores dictate pricing and promotions, weakening Cermedes' ability to influence end-user experiences.

CONTROL

Low Direct Influence

Heavy reliance on intermediaries (wholesalers/stores) reduces control over pricing, branding, and customer feedback.

Inefficient Feedback Loop

No direct consumer engagement (e.g., surveys, loyalty programs) to adapt to trends like ergonomic or lithium-ion demand.



COVERAGE

Geographic Reach

Adequate for Germany but lacks international expansion.

Channel Gaps

- **Professional Segment:** Underrepresented in trade-specific channels (e.g., construction equipment retailers).
- **DIY Segment:** Absence in large DIY chains and online platforms limits mass-market penetration.

Strategic Weaknesses



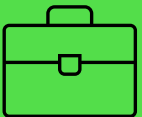
Over-Reliance on Wholesalers

Price erosion & margin compression due to wholesalers' bargaining power



No Omnichannel Presence

Fails to address DIY users' shift toward online shopping.



Missed Niche Markets

No partnerships with premium professional retailers (e.g., Festool's niche woodworking focus).

Further Channels of Distribution

Direct B2B Sales

E-commerce

„Use Before you Buy“
collaborated with Bauhaus

Specialty Retail Stores (for DIY Enthusiasts)

Marketplaces

Events & Trade Shows
Digital Influencer Marketing



Conflict 1: E-commerce vs. B2B

→ D2C bypasses wholesalers

Mitigation



- **Restrict e-commerce** to DIY-focused **low power tools** (500W-1000W)
- **Integrate wholesalers** into online platform with **sales commissions**

Conflict 2: Counterfeit Risks Across Channels

→ Ecommerce & Influencer Marketing can increase exposure to counterfeits especially from China

Mitigation



- Implement **digital watermarking** and **monitor online marketplaces**
- **Educate consumers via influencers** about genuine Cermedes products

**Differentiate Products → Collaborate With Partner
→ Protect Brand**

Direct B2B Sales

Dedicated sales force or B2B sales team to target key segments such as small manufacturers, hobbyist clubs, repair shops, and prototyping businesses

Target Large Industrial Clients

A dedicated B2B sales team to directly engage with construction firms

Customized Solutions

Offer tailored product bundles or maintenance contracts to long-term partnerships

Margin Improvement

Bypassing wholesalers to retain higher margins

E-commerce Store

Launch a branded online store that showcases the full Power Tool product line, accessories, and educational content

Launch an E-commerce Platform

User-friendly website showcasing product specifications, tutorials, and customer reviews

Omnichannel Integration

Link online sales with offline services (e.g., in-store pickup or local delivery)

Target DIY Enthusiasts

Highlight the durability and quality of Cermedes products through blog content

7

Specialty Retail Stores

Partner with or sell through specialty DIY and hobby stores that cater to serious hobbyists and artisans

Collaborate with Premium Retailers

Partner with stores like Bauhaus to create dedicated Cermedes product displays

In-Store Demos

Conduct live demonstrations to showcase product reliability and ease of use

Exclusive Bundles

Offer store-specific kits (e.g., "DIY Home Repair Bundle") to differentiate from competitor

Events & Trade Shows

Exhibit at trade shows and events targeting hobbyists, crafters, and professionals in relevant industries

Participate in Key Exhibitions

Attend events like "Hannover Messe" (industrial focus) or "DIY & Garden Trade Fairs" (B2C)

Live Product Testing

Allow attendees to test tools and provide feedback

Launch New Products

Use events to introduce premium or limited-edition items

Recommendation of distribution



Cermedes

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[CERMEDES CASE PAPER 1](#)

[CERMEDES CASE PAPER 2](#)

CASE: Pricing and Profitability Insights

CASE

Provide the CEO of CERMEDES with advice on the following issues:

- Identify the most and least profitable products at CERMEDES? Does this influence your decision on the firm's strategic set-up?
- How about the sales volumes?
- What to do with products that are not profitable at the moment?
- Are price increases a viable option? What factors determine the viability?

Food for thought for the final report:

- Understand the current Return on Sales and benchmark it to the industry. In preparation, at least get an overview of what is needed to perform these calculations.
- Develop ideas on the creation of scenarios: what could be relevant assumptions to develop an optimistic, versus a pessimistic scenario?

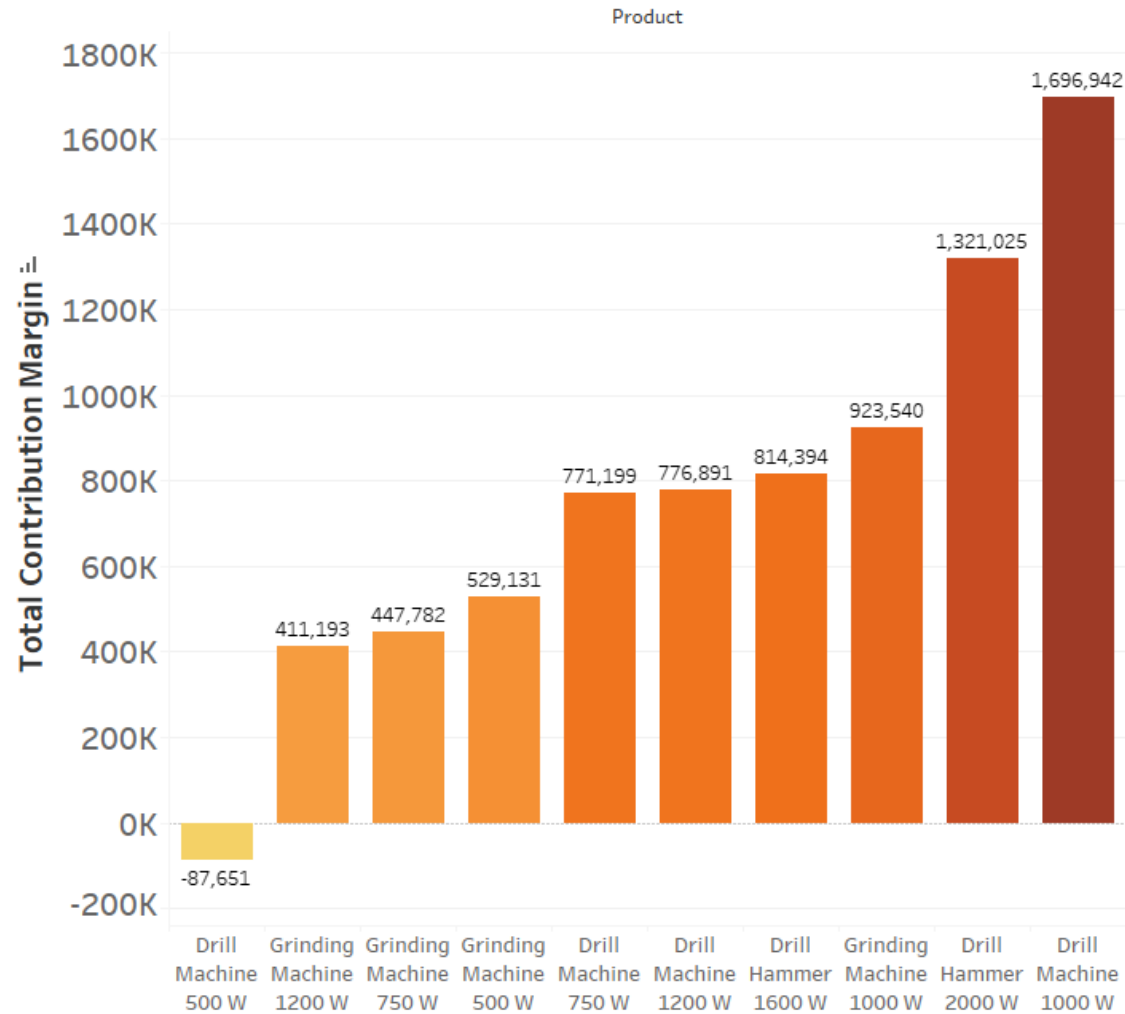


75 min!

[Price assessment.xlsx](#)

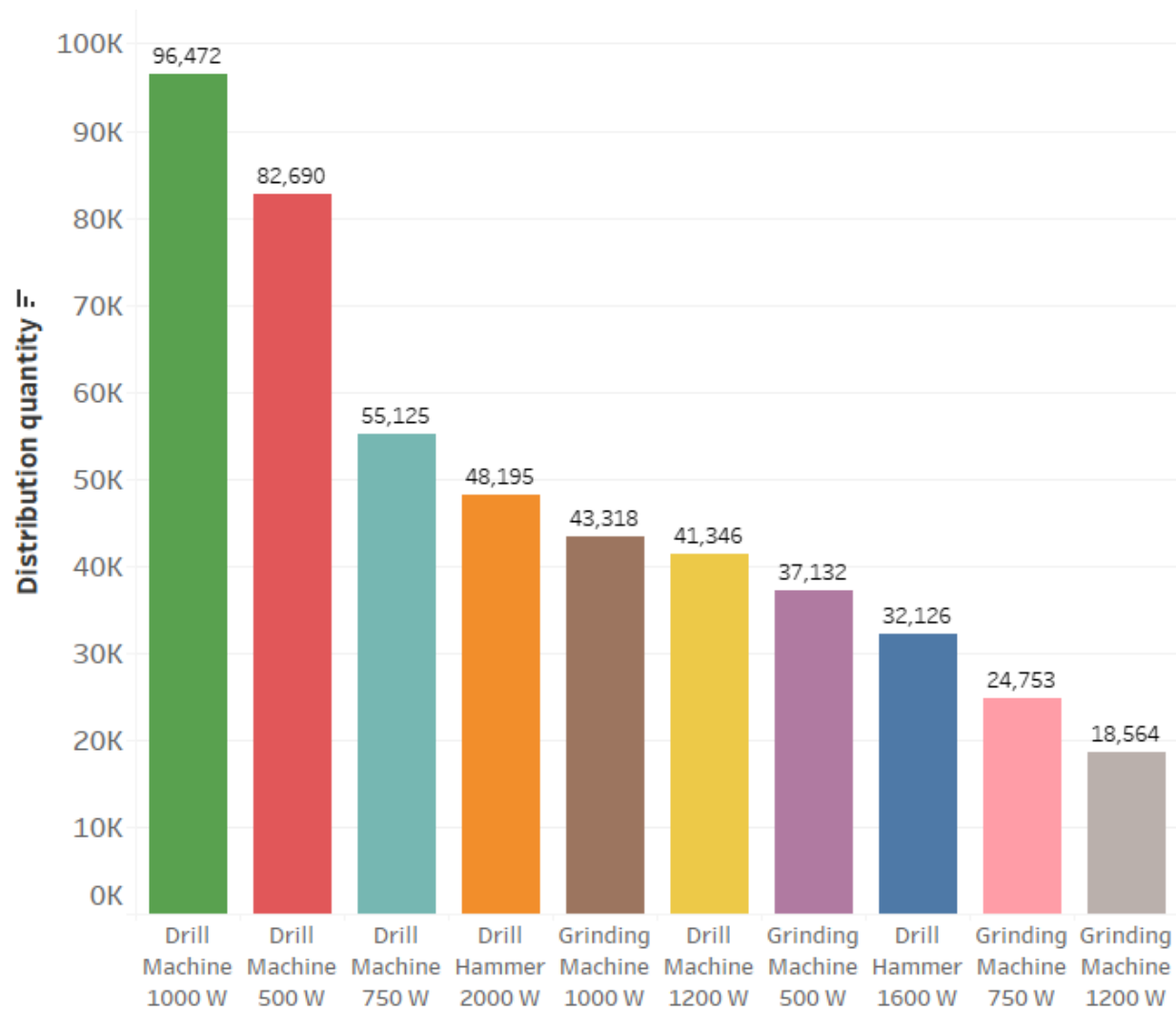
Most and least profitable products at CERMEDES?

Product	Price in EUR	Total direct cost of sales	Contribution Margin/Unit	Margin
Drill Machine 500 W	42,00 €	43,06 €	-1,06 €	-2,52%
Drill Machine 750 W	59,00 €	45,01 €	13,99 €	23,71%
Drill Machine 1000 W	65,00 €	47,41 €	17,59 €	27,06%
Drill Machine 1200 W	70,00 €	51,21 €	18,79 €	26,84%
Drill Hammer 1600 W	80,00 €	54,65 €	25,35 €	31,69%
Drill Hammer 2000 W	85,00 €	57,59 €	27,41 €	32,25%
Grinding Machine 500 W	59,00 €	44,75 €	14,25 €	24,15%
Grinding Machine 750 W	65,00 €	46,91 €	18,09 €	27,83%
Grinding Machine 1000 W	70,00 €	48,68 €	21,32 €	30,46%
Grinding Machine 1200 W	73,00 €	50,85 €	22,15 €	30,34%



Total Contribution Margin by Product (Bar Chart)

- Shows which products contribute the most to covering overhead and generating profit.
- Identifies underperformers with negligible or negative margin.



Sales Volume by Product (Bar Chart)

- Compares the scale of each product line.
- Helps evaluate strategic weight of low-profit high-volume products.



Product Profitability and Strategic Set-Up Decision

1. Resource Allocation

- **Profitable products** should receive more investment in marketing, innovation and channel support.
- **Declining products ()** may get phased out or repositioned to improve margins

2. Internationalization Focus

- When expanding – prioritization of the most profitable products.
- New markets require extra funds for introducing and marketing the products. Therefore, the focus should be on flagship products initially.

3. Product Strategy & Differentiation

- Focus on a special selection of products (core product line) which combines high profitability and brand differentiation.

4. Sales & Channel Strategy

- When expanding – prioritization of the most profitable products.
- Terms Negotiation with retailers and wholesalers for “slow moving” and/or not saleable products.



Product Profitability and Strategic Set-Up

5. Operational Set-Up

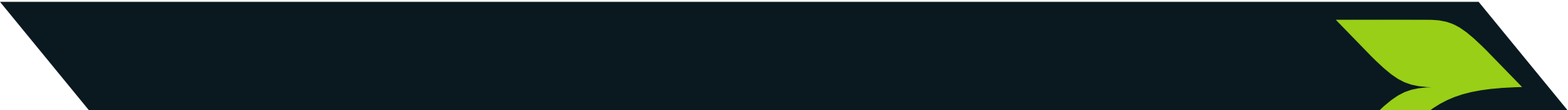
- Manufacturing and Supply Chain should be optimized around high-volume, high-margin products to reduce complexity and costs.
- !!!!!Low-performing products may be outsourced, batch-produced, or made to order to minimize waste.!!!!!! Quality needs to be kept intact though



Product Profitability and Strategic Set-Up

How to do it

Framework	Used for
BCG Matrix	Prioritizing profitable vs unprofitable products
Resource-Based View	Aligning Strategy with core competencies
Ansoff Matrix	Choosing appropriate growth strategy
Strategic Fit Theory	Ensuring internal-external alignment
Pareto Principle	Focusing on high-impact product lines
Economies of Scope & Scale	Optimizing operational set-up

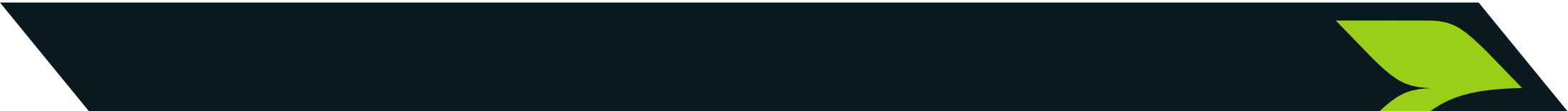


Product Profitability and Strategic Set-Up

◆ 3. Develop a Tiered Product Strategy

To balance both customer segments:

Tier	Target Segment	Product Examples	Positioning	
Premium	Property maintenance firms	Drill hammer 2000W, upgraded 1200W drill	Durable, pro-grade, high torque	
Core	High-end DIYers	Drill 1000W, Grinder 1000W	Reliable, ergonomic, Made in Germany	
Entry	Price-sensitive DIY	Drill 500W, Grinder 500W	Compact, affordable, good for basic tasks	



How about the sales volumes?

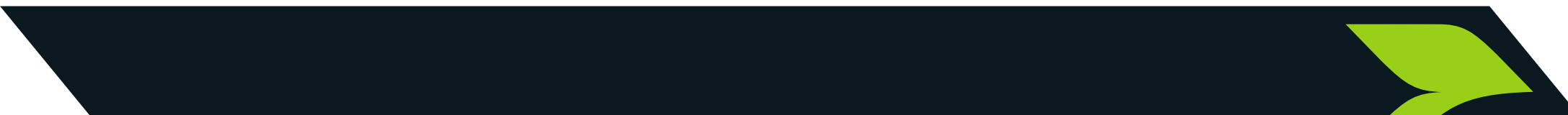
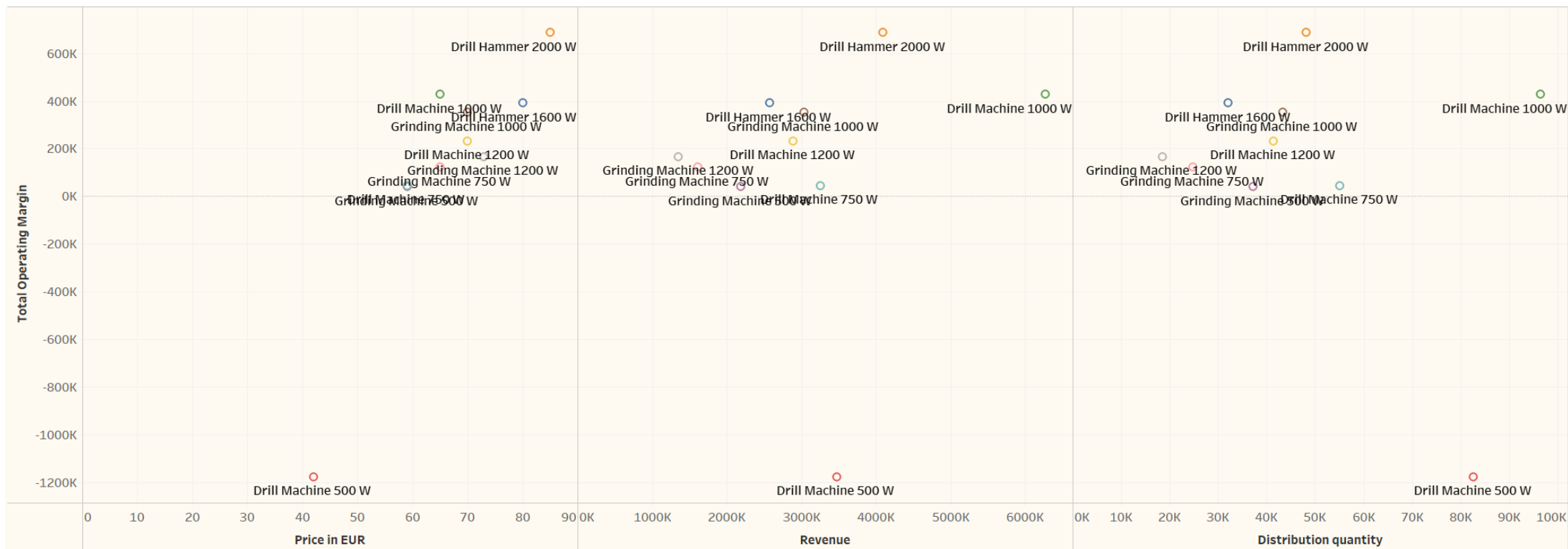
Product	Distribution quantity	Margin (H) / (C)
Drill Machine 500 W	82,690	-2.52%
Drill Machine 750 W	55,125	23.71%
Drill Machine 1000 W	96,472	27.06%
Drill Machine 1200 W	41,346	26.84%
Drill Hammer 1600 W	32,126	31.69%
Drill Hammer 2000 W	48,195	32.25%
Grinding Machine 500 W	37,132	24.15%
Grinding Machine 750 W	24,753	27.83%
Grinding Machine 1000 W	43,318	30.46%
Grinding Machine 1200 W	18,564	30.34%

 High-volume, low-margin

 Low-volume, high-margin

Sales Volume vs. Profitability Trade-Off

- High-volume but low-margin products (e.g., drill 500W) may justify their existence if they drive customer loyalty or cross-selling.
- Low-volume but high-margin products (e.g., grinders 1200W) should be **promoted more aggressively** (e.g., influencer marketing, bundling).



What to do with products that are not profitable at the moment?

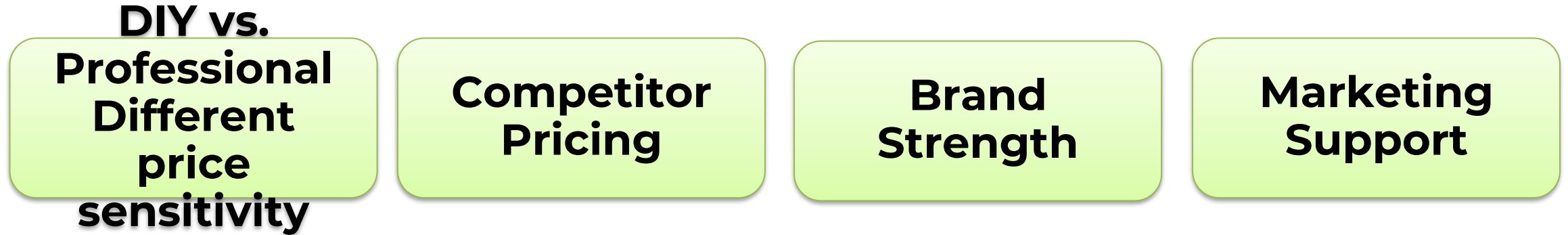
Make them only available through direct channels

Products that have a lower profit margin would only be sold online for example instead of through wholesalers to cut down on distribution costs

Increase prices

Self explanatory

Are price increases a viable option? What factors determine the viability?



E-commerce vs. Channels: Not Viable

- Because DIY Market (our chosen e-commerce customer segment for DIY) is price.sensitive;
- Imports average price down by 2.2% (given in case)
- Last Year Annual Sales for DIY – 39B€, so online price hikes risk losing this

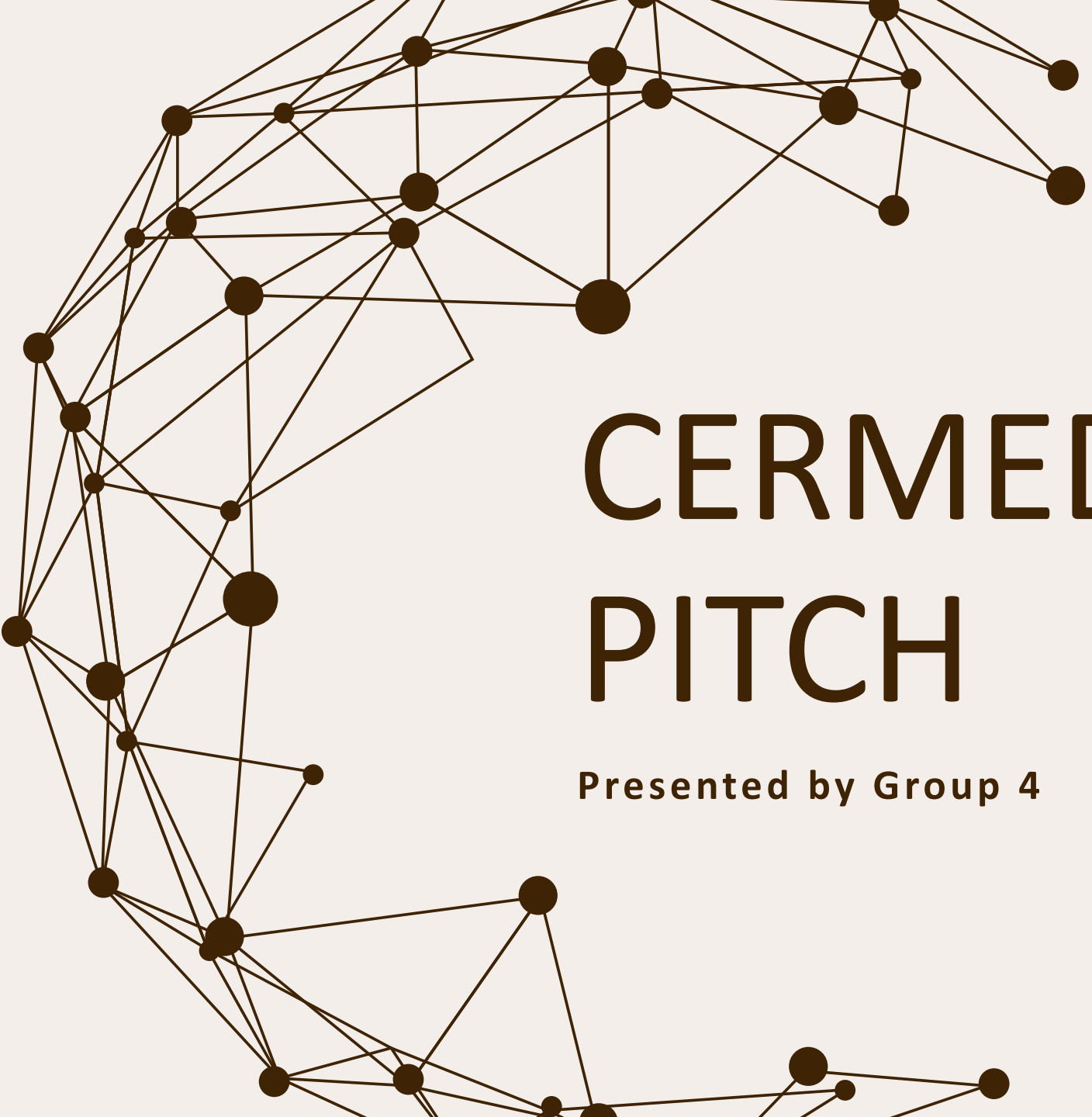
B2B Sales Channel & Stores: Moderate Viable

- Because the customer target segment of professionals in this segment accept 7-8% rises (given in case) are less price-sensetive but looking for good quality/durability

Counterfeits: Viable

- Premium pricing can deters fakes, which can help in reinforcing quality image

Channel Conflict Risk → Higher online prices reduce store and wholesaler revenue growth but again limit e-commerce growth as well ; price increase affecting other channels



G4 Consultancy



CERMEDES PITCH

Presented by Group 4

Chia Jung Lee
Geetanjali Moorjani
Khaled Yaseen
Nikolaos Michail Stavrianos
Ravi Chaudhary
Youssef Kadry



EXECUTIVE SUMMARY

How can we regain growth and future-proof the Business



WHO WE ARE

G4 Consultancy tasked with identifying a strategic growth path for **CERMEDES**

MANDATE

Assess **market, product, and international** options to reignite growth and strengthen competitiveness

PAINS

Declining Sales (-5%)
Outdated Product Tech
Rising Competition

SITUATION

The German power tools market is shifting rapidly — and Cermedes is **missing key growth segments**

DIY segment is booming, growing at +5.2% annually with a €39B market size

Online sales now represent 12% of the channel mix and are accelerating

35% of consumers prefer DIY stores, highlighting the need for **channel diversification**

PROBLEM

Cermedes is **losing money** on cheap tools while ignoring profitable premium products

Outdated product line and **limited innovation**

Overdependence on wholesalers (70% of high-power sales)

Weak Brand Positioning

RESOLUTION

Strategic priorities for Cermedes

Innovate with **Lithium-Ion** tech by launching ergonomic, cordless, and multifunctional tools

Build a **DTC** (Direct to Consumer) channel and grow presence in DIY retail

Position Cermedes as the trusted, **German-engineered choice** for pros and premium DIY segment



THANK YOU

FOR YOUR TIME AND ATTENTION



Chia Jung Lee
Geetanjali Moorjani
Khaled Yaseen
Nikolaos Michail Stavrianos
Ravi Chaudhary
Youssef Kadry



Project RE:CHARGE

Redesigning Tools Rethinking Boundaries

Date: 24th May 2025 and 14th June 2025



Group 04

Chia Jung Lee

Geetanjali Moorjani

Khaled Yaseen

Nikolaos Michail Stavrianos

Ravi Chaudhary

Youssef Kadry



Project Charter

Targets:

- Improve overall profitability of CERMEDES by optimizing the product portfolio.
- Eliminate or fix consistently unprofitable products (e.g., Drill Machine 500W).
- Identify products with the highest margin and growth potential (e.g., Drill Hammer 2000W, Drill 1000W).
- Propose actionable recommendations on pricing, phasing out, and repositioning.
- Align with strategic goals for sustainable, long-term growth in the power tool market.

Non-targets:

- Radical organizational restructuring.
- Major R&D investments outside current product categories.
- Expanding into new, unrelated business lines.

Project Charter

Scope:

- Analyze product-level profitability (contribution and operating margin).
- Validate/correct cost allocation methods in existing data.
- Assess price increase viability per product.
- Evaluate the impact of discontinuing or repositioning underperforming products.
- Recommend updated reporting/analysis formats.

Out-of-scope:

- Full market entry/exit in new countries or continents.
- M&A or joint venture proposals.
- Supply chain transformation beyond cost improvements.

Project Charter

Key deliverables:

- Corrected and validated product profitability analysis (Excel file and summary report).
- Product-level recommendations (continue, fix, reposition, discontinue).
- Pricing strategy matrix and sensitivity scenarios.
- Visual dashboards/graphs for management decision-making.
- Executive summary for Board/Management.

Relevant stakeholders:

- Board of Management (CEO, CFO, COO)
- Product Management team
- Finance/Controlling
- Sales & Marketing
- Production/Operations
- Key Distribution Partners (Wholesalers, Specialist Stores)

Project Charter

Budget estimate (Initial):

- Internal:
 - Staff time (Product Management, Finance, Analytics)
 - Minor costs for market research or data tools (if needed)
- External:
 - Optional: Short consulting input on pricing or cost accounting
- **Total estimate:** €10,000–€30,000 (mostly internal opportunity cost)

Core team members:

- Project Lead: Product Management Head
- Finance Analyst/Controller
- Sales & Marketing Representative
- Production Representative
- Data Analyst (for profitability and pricing analysis)
- (Advisor: Board Member/Senior Manager)

Work Breakdown Structure (WBS)

1

2

3

4

5

6

7

Project Management	Plant Expansion & Production Setup	Product Innovation (Cordless & Smart Tools)	Digital CRM & eCommerce Rollout	EU Market Expansion	EU Distribution Infrastructure	Marketing Campaigns & Branding
Strategic Planning & Vision Definition	Site Survey & Architectural Design	Cordless Drill Prototype Design	CRM System Design & Workflow Mapping	Benelux Market Entry & Legal Onboarding	Export Logistics Readiness	Campaign Strategy: "Tools That Last"
Project Team Formation & Governance	Permit Application & Regulatory Approvals	Compatibility Testing – Power-for-All Alliance	Multilingual eCommerce Platform Development	DACH Expansion via Retail Alliances	Inventory Planning for 3 Pilot Countries	Online/Digital Promotion (SEO, Influencers)
Project Reporting & Documentation	Construction of Ergonomic Tool Plant	Smart Gardening Tools Design	DTC Channel Integration (Amazon, Website)	Scandinavian Market Scouting & Entry Plan	Distributor Onboarding & Compliance	Physical Promotion in DIY Retail Stores
Budgeting & Financial Tracking	Installation of Machines & Tooling	Inclusive Design (Ergonomics, Age Adaptive)	Customer Feedback App Development	Regional Customization of Product Offering	IT Adjustment for EU Sales Reporting	Schedule & Logistics
Risk & Stakeholder Management	HSE Compliance & Employee Safety Zones	Final QA, Certification & Industrialization	GDPR & Data Compliance Measures			Training of Promotion Staff
						Marketing Material Distribution

Project Communication

Meeting	Objective	Participants	Schedule	Location
Sponsor Meeting	Review strategic alignment, approve funding, finalize major deliverables	Nicole Richter (Sponsor), PM, Dept. Heads	Twice yearly (Jun, Dec)	CEO Office
Control Board Meeting	Make go/no-go decisions, resolve escalation issues	PM, Marketing Lead, Production, Accounting, Development, Logistics	Quarterly (Mar, Jun, Sep, Dec)	Conference Room A
Weekly Jour Fixe	Weekly status updates from each WP lead, milestone prep	PM, WP Leads (Development, Marketing, Logistics, IT, Production)	Weekly (Wednesdays)	“Project Basecamp” Room
Subteam Bi-weekly Reviews	Tactical alignment: IT–CRM setup, Marketing campaigns, HR training, etc.	Subteams: Marketing-CRM, Development-Production, HR-Sales	Bi-weekly (Fridays)	Respective Department HQs
Customer/Stakeholder Sync	Early validation, testing, feedback loops for product and digital touchpoints	PM, CRM Lead, Partner Retailers, Pilot Customers	Monthly (Virtual)	MS Teams / Webex
Kickoff & Wrap-Up Events	Start and end phase engagement, learnings, value storytelling	All internal team + key vendors & influencers	2025 Kickoff / 2030 Close	Campus Hall, Cermedes HQ

Team Responsibility

WBS Area	Responsible (R)	Accountable (A)	Consulted (C)	Informed (I)
1. Project Management	Nicole Richter (PMO)	Nicole Richter (PMO)	All WP Leads	Entire Org
2.1 Site Survey & Feasibility	Wilfried Glau (Production)	Nicole Richter	Procurement, Development	HR, Logistics
2.2 Plant Construction	Wilfried Glau	Nicole Richter	Procurement, Accounting	Entire Core Team
2.3 Safety Compliance Setup	Boris Knecht (HR)	Nicole Richter	Local Authorities, Facilities	Production, PM
3. Cordless Drill Development	Tobias Hartmann (Dev.)	Nicole Richter	Lab, Production, Logistics	Marketing
4. Gardening Line Prototype	Tobias Hartmann	Nicole Richter	Marketing, Sales	Lab
5. CRM Integration	Matthias Schilling (IT)	Nicole Richter	Eva-Maria (Compliance), Pamela (Marketing)	All Sales Teams
6. Digital Campaigns	Pamela Havekorst (Marketing)	Nicole Richter	Thomas Gust (Sales), IT, PM	All Departments
7. Expansion Benelux/DACH/Scand.	Thomas Gust	Nicole Richter	Ilse Piske (Logistics), Legal	Marketing, HR, Finance
8. Customer Feedback App	Matthias Schilling	Nicole Richter	Eva-Maria, Pamela	Entire Org (post-launch)
9. Final Strategic Review	Nicole Richter	Nicole Richter	All WP Leads	Stakeholders

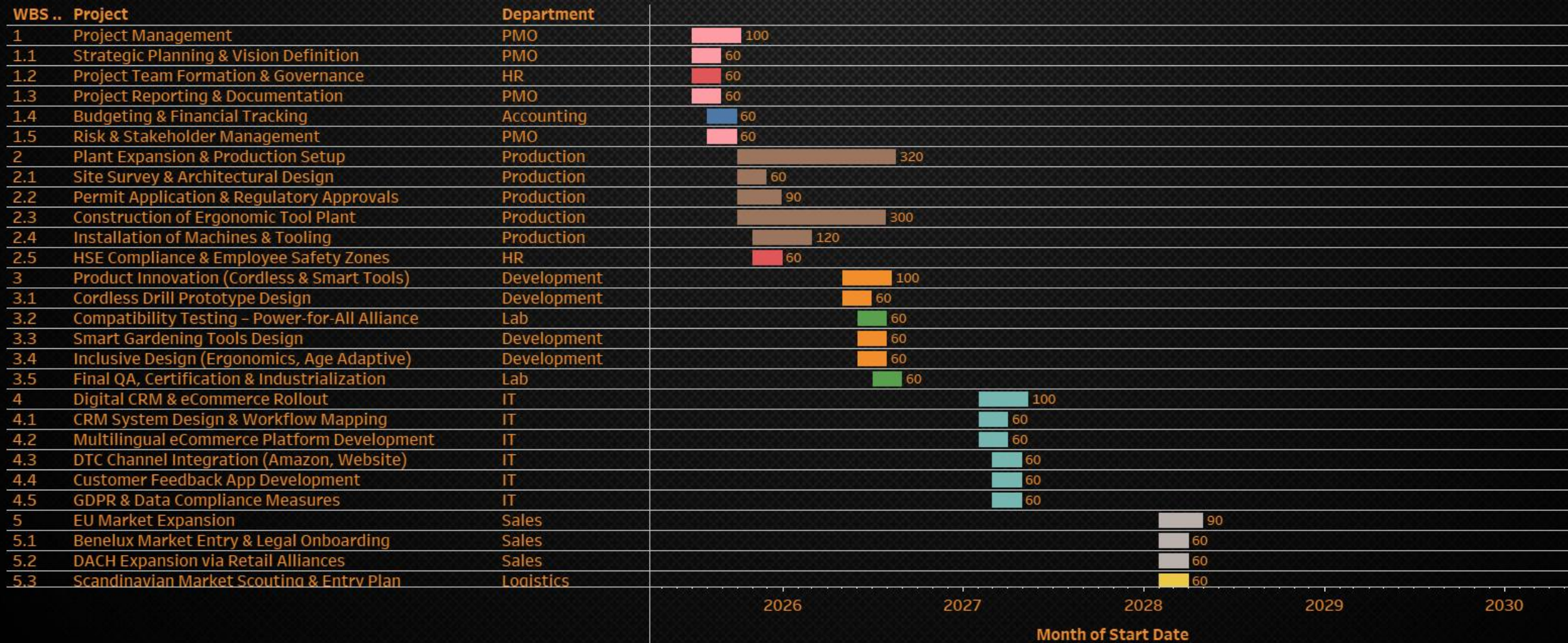
RACI Matrix-1

Serial No.	Task	Nicole Richter (PMO)	Tobias Hartmann (Development)	Wilfried Glau (Production)	Rainer Hörnke (Accounting)	Johannes Möhlmann (Cost Accounting)	Pamela Havekorst (Marketing)	Thomas Gust (Sales)	Matthias Schilling (CRM/IT)	Boris Knecht (HR)	Klaus Mausch (Logistics)	Ilse Piske (Logistics)	Eva-Maria Schildhauer (IT/Compliance)	Henny Immelmann (Lab)
1	Site Survey and Feasibility	I	I	R	I	I	I	I	I	I	I	I	I	I
2	Architectural and Engineering Design	I	I	R	I	I	I	I	I	I	I	I	I	I
3	Permit Application and Approvals	I	I	R	I	I	I	I	I	I	I	I	I	I
4	Construction Tendering and Vendor Finalization	A	I	I	I	I	I	I	I	I	I	I	I	I
5	Construction of Ergonomic Tool Plant	I	I	R	I	I	I	I	I	I	I	I	I	I
6	Fit-Out and Machine Installation	I	I	R	I	I	I	I	I	I	I	I	I	I
7	HSE Compliance and Fire Safety Setup	I	I	I	I	I	I	I	I	R	I	I	I	I
8	Power-for-All Battery Spec Review	A	R	I	I	I	I	I	I	I	I	I	I	I
9	Joint Testing with Alliance Partners	I	I	I	I	I	I	I	I	I	I	I	I	R
10	Final Engineering Design Freeze	A	R	I	I	I	I	I	I	I	I	I	I	I
11	Market Analysis: Gardening Segments	I	I	I	I	I	I	I	R	I	I	I	I	I
12	Prototype Design - Gardening Line	I	R	I	I	I	I	I	I	I	I	I	I	I
13	Field Test in 2 Urban Locations	I	I	I	I	I	R	I	I	I	I	I	I	I
14	CRM Workflow Mapping	I	I	I	I	I	I	I	R	I	I	I	I	I
15	Platform UI/UX Wireframing	I	I	I	I	I	I	I	C	I	I	I	R	I

RACI Matrix-2

[illegible]

Gantt Chart



Gantt Chart



Stakeholder Matrix

No.	Stakeholder	Relation to Project	Influence	Attitude	Priority	Management Action	Responsible
1	Nicole Richter (CEO)	Project sponsor, strategic direction	High	Supportive	High	Keep fully involved, milestone approval meetings (bi-annually)	Project Manager
2	Tobias Hartmann (Dev Lead)	Leading R&D on cordless innovation	High	Supportive	High	Weekly status sync, bi-weekly dev sprints	PM
3	Thomas Gust (Sales)	Leads DACH/Benelux expansion, EU partner deals	High	Supportive	High	Involve in market expansion boards and DTC rollout	PM
4	Matthias Schilling (IT/CRM)	Manages CRM/eCommerce rollout	High	Neutral	High	Host technical integration workshops and ensure progress updates	Nicole Richter
5	Local EU Retailers (Benelux)	Distribution channels for RE:CHARGE tools	Medium	Neutral	Medium	Schedule onboarding sessions, demo products	Thomas Gust
6	Power-for-All Alliance	Strategic tech partner for battery compatibility	Medium	Supportive	High	Joint prototype testing, standard alignment	Tobias Hartmann
7	Employees @ Plant	Affected by plant redesign and automation	Medium	Uncertain	High	Internal comms plan, HR-led training + engagement sessions	Boris Knecht (HR)
8	HR & Compliance Bodies	Oversight of hiring, training, HSE standards	High	Neutral	High	Align early on hiring timelines, safety compliance	Eva-Maria Schildhauer
9	Customers (EU DIY segment)	Final users of ergonomic/smart tools	Low	Neutral	Medium	Feedback loop via CRM + post-launch survey	Pamela Havekorst (Marketing)
10	Press / Industry Analysts	Impact brand positioning and innovation perception	Medium	Supportive	Medium	Launch press releases, host virtual innovation day	Nicole Richter

Risk Management

#	Risk Description	Root Cause	Impact	Probability	Risk Level	Mitigation Strategy	Responsible
1	Delay in Ergonomic Plant Construction	Permit processing or contractor delays	Timeline shift (90 days)	High	 High	Apply early for permits; prequalify multiple construction vendors	Wilfried Glau (Production)
2	Resistance from internal workforce to ergonomic automation	Fear of job loss / lack of clarity	Productivity drop	Medium	 Medium	Internal communication & retraining campaign	Boris Knecht (HR)
3	CRM system integration fails or delays launch	Poor vendor coordination or underestimated scope	Launch delay, loss of sales	High	 High	Phased rollout, buffer timeline, 3rd-party audit	Matthias Schilling (IT)
4	Power-for-All battery standard misalignment	Engineering misinterpretation of partner specs	Prototype rejection	Medium	 Medium	Joint technical workshops & pre-integration testing	Tobias Hartmann (Dev)
5	GDPR/data compliance breach during eCommerce rollout	Insufficient controls in IT systems	Fines, reputation damage	Low	 Low	Legal compliance audit; CRM user roles and logs	Eva-Maria Schildhauer (IT)
6	Benelux retail onboarding delays	Local compliance or legal paperwork	Market access slowed	Medium	 Medium	Pre-check legal conditions and distribute onboarding kits early	Thomas Gust (Sales)
7	Budget overrun in campaign 'Tools That Last'	Influencer costs, underestimation of reach needs	Brand ROI may suffer	Medium	 Medium	Use micro-influencers, monitor CPL and pause underperforming ads	Pamela Havekorst (Mktg)
8	Customer feedback loop post-launch not implemented properly	Delayed app or low engagement	No product insight captured	High	 High	Launch CRM-connected feedback portal and incentivize participation	Nicole Richter (PMO)



Project RE:CHARGE

Redesigning Tools

Rethinking Boundaries



Date: 13th June 2025

Group 04

Chia Jung Lee

Geetanjali Moorjani

Khaled Yaseen

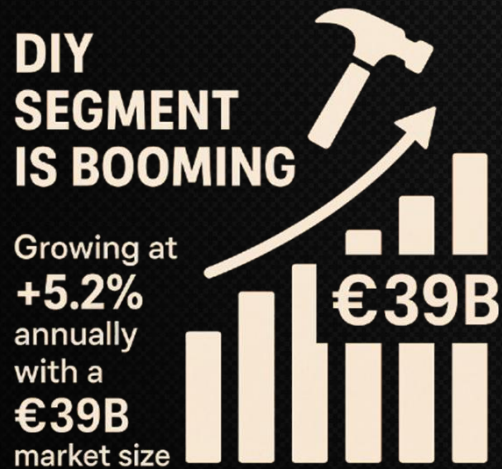
Nikolaos Michail Stavrianos

Ravi Chaudhary

Youssef Kadry

What is happening out there?

Strategic Shift in the Industry



35% OF CONSUMERS prefer DIY stores, highlighting the need for **CHANNEL DIVERSIFICATION**



An icon of a storefront with a red awning and a square window.

12% **ONLINE SALES** represent of the channel mix **AND ARE ACCELERATING**



An icon of a laptop computer with a shopping cart icon on its screen.

RISE IN PROPERTY MAINTENANCE SECTOR



RISE IN CORDLESS AND ERGONOMIC POWER TOOL MARKET



Strategic Shift in the industry

DRIVERS

Expansion of the Construction Industry and Manufacturing Sector in Emerging Economies

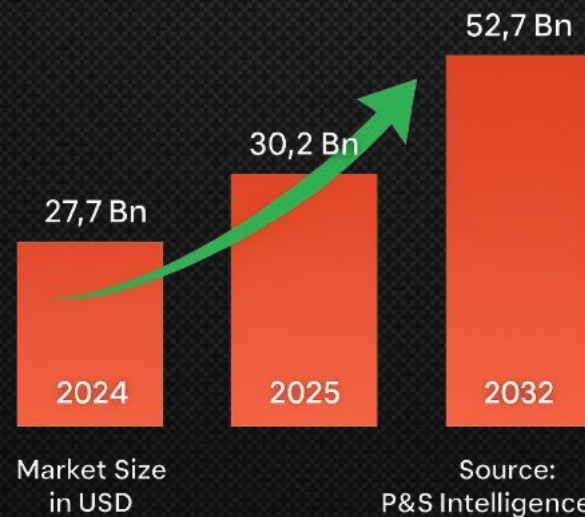
1

TRENDS

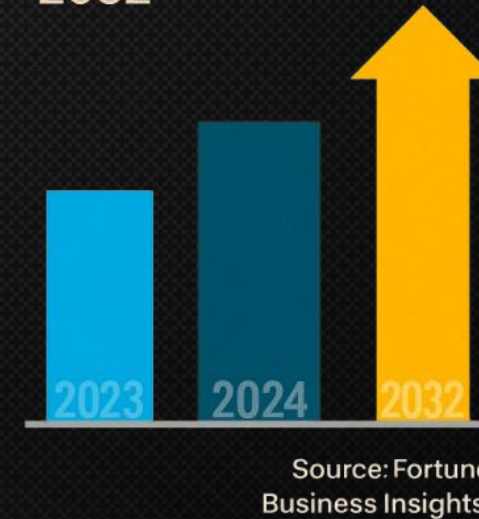
Development of Multi-Purpose Products, cordless devices, and additional accessories

Cordless Power Tools Market

CAGR 11.8%

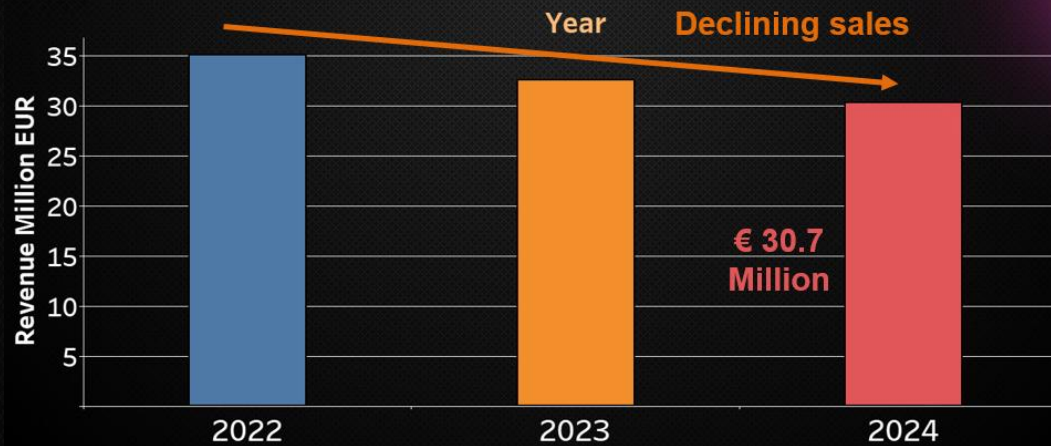


Power Tools Market to grow at 4.4% CAGR by 2024-2032

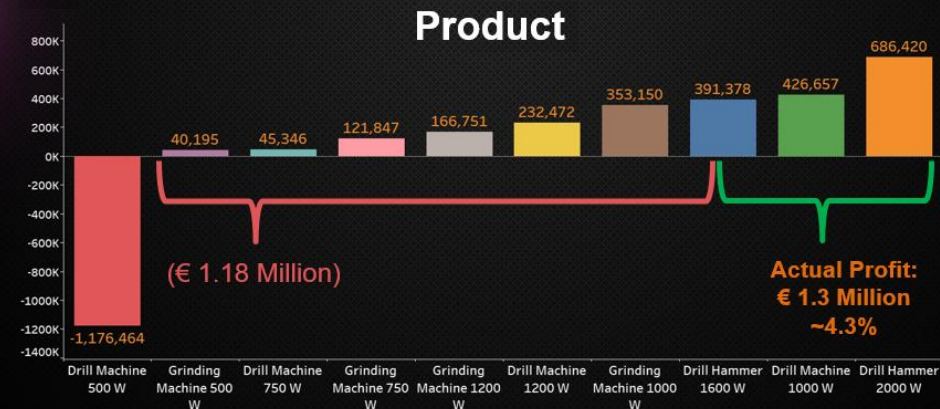


Declining Sales, Disconnected Brand

Revenue Trend



Profit Contribution by Product Line



Where Cermedes Stands today?

LIMITED PORTFOLIO
ONLY 10 ACTIVE PRODUCTS IN THE LINEUP

FOCUSED MARKET
TARGETING ONLY THE DOMESTIC DIY SEGMENT

TRUSTED BY CUSTOMERS
STRONG BRAND CREDIBILITY IN THE DIY SPACE

DATA GAP
NO ACCESS TO DIRECT END-USER INSIGHTS

Distribution & Supply Structure

FULL RETAIL DEPENDENCY
100% RELIANT ON RETAILERS AND WHOLESALERS

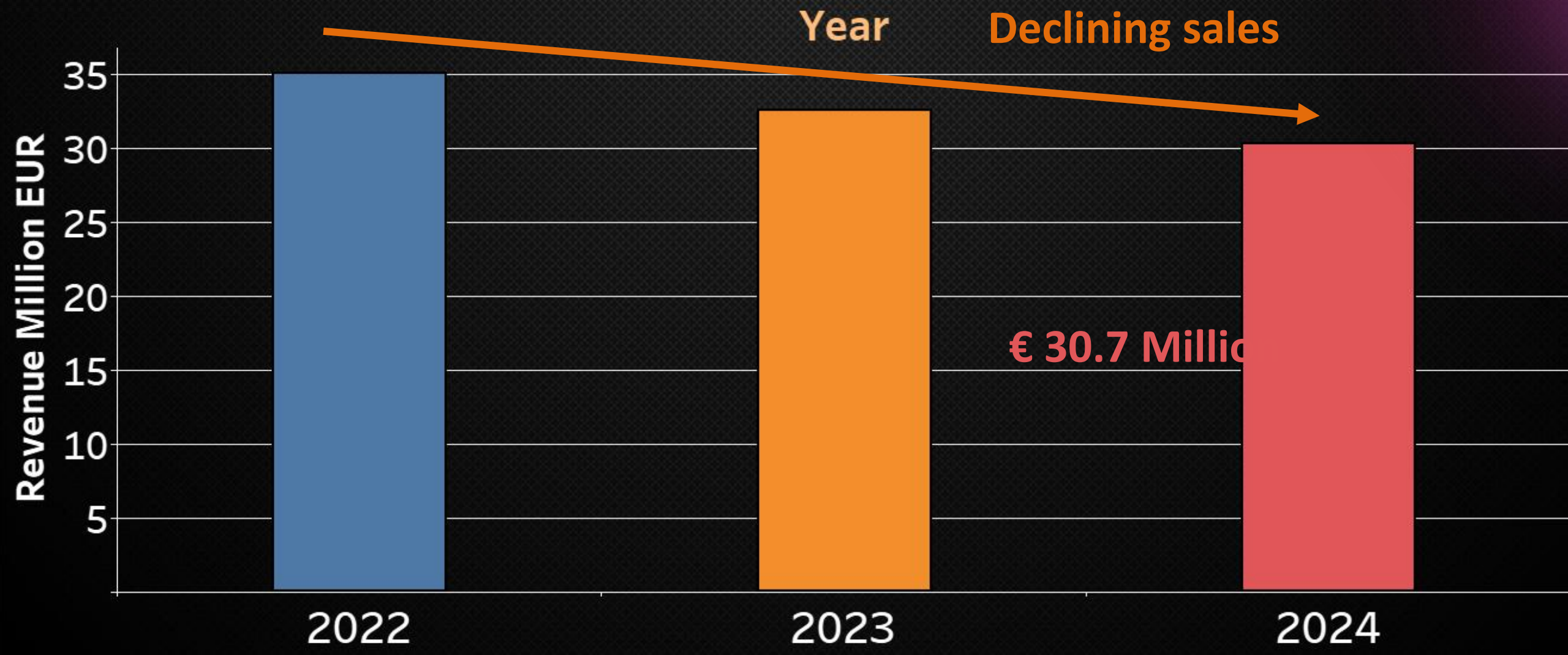
NO D2C CHANNEL
No direct-to-customer sales model available

NO PRICING CONTROL
Cannot independently set or manage product prices

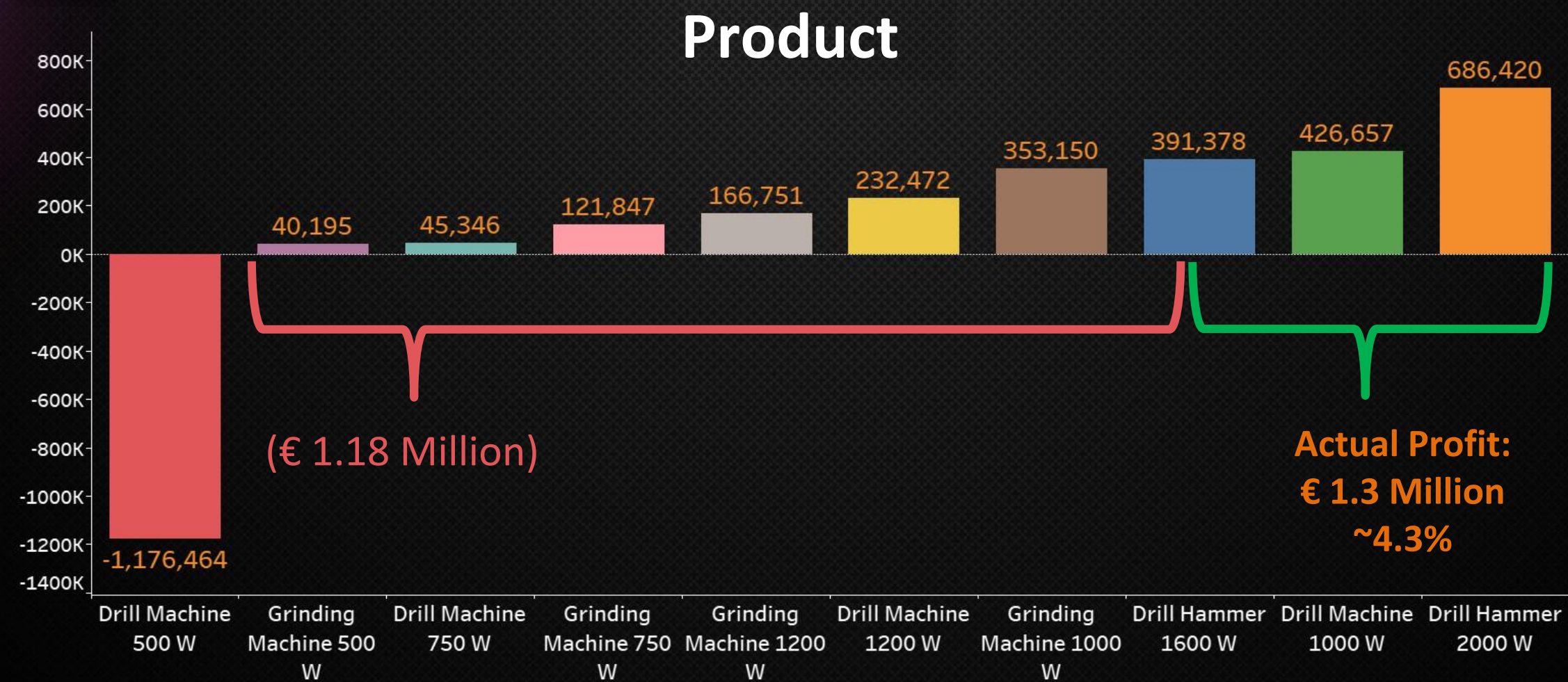
IN-HOUSE MANUFACTURING
ALL PRODUCTS PRODUCED INTERNALLY BY CERMEDES

NO OUTSOURCING
PRODUCTION IS NOT OUTSOURCED TO EXTERNAL PARTNERS

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OUTSOURCED TO
EXTERNAL PARTNERS

Misalignment Across Market, Channel, and Model

1

Market & Product Misalignment

Irrelevance in Growth Segments

- No presence in fast-growing segments
- Limited appeal to wider users weaken future competitiveness

2

Channel & Customer Disconnect

No Feedback, No Loyalty

- Poor decision-making on product improvement and market prioritization
- Low visibility to modern buyers

3

Lack of Scalable Growth Engine

Inefficient Revenue & Risky Expansion

- No product champions to scale
- International expansion is unstructured

Project RE:CHARGE

Short-Term Action Plan – Preparing CERMEDES for Sustainable Growth



Cut low-margin SKUs to free operational capacity,
not jobs



Use internal **R&D** as a step towards **new cordless product line designs**



Reprice top 10 tools using **value-based models**



Develop & launch **e-commerce platform**, start direct listing
on consumer **marketplaces**



0–12 months

RE:CHARGE Roadmap | Years 1-3

From Factory Floor to Customer Trust

1

BUILD A DEDICATED ERGONOMIC TOOL PLANT

Use existing site space

For cordless innovation & faster delivery



2

JOIN THE POWER-FOR-ALL ALLIANCE

Develop 18V battery-compatible tools

Collaboration for a shared ecosystem



3

LAUNCH CORDLESS TOOLS IN 3 EU MARKETS

Via influencer-driven pilots

Ergonomic design meets regional testing



4

TARGET PROPERTY MAINTENANCE FIRMS



Offer tool subscriptions to pros

Tap into Europe's growing B2B market

5



DIGITALIZE AFTER-SALES SUPPORT

From repairs to returns - all online

Faster resolution, better customer retention

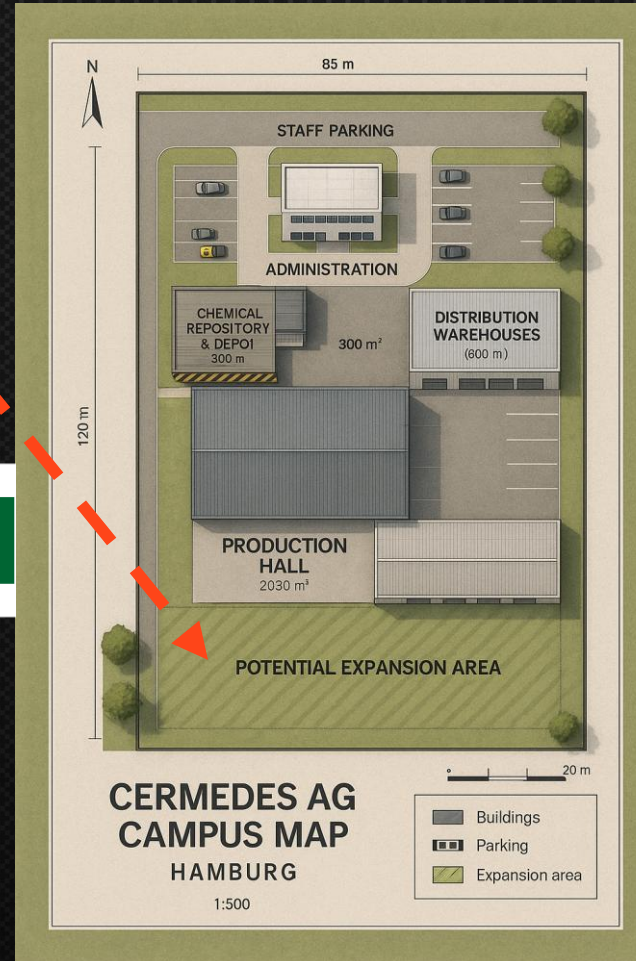
6



CAMPAIGN: 'TOOLS THAT LAST'

Drive brand trust through digital stories

Built to perform, designed to stay



Year 1

Year 2

Year 3

Year 4

1

2

3

4

5

6



VISION 2030+

Shaping the Future:
Innovation-Led,
Digitally-Enabled,
Regionally-Scaled



Vision Pillar I: Smarter Products, Stronger Brand

From tools to smart, connected solutions

REGIONAL LEADERSHIP

FROM RELIABLE
TOOL MAKER → 

TO VALUE-DRIVEN
INNOVATOR

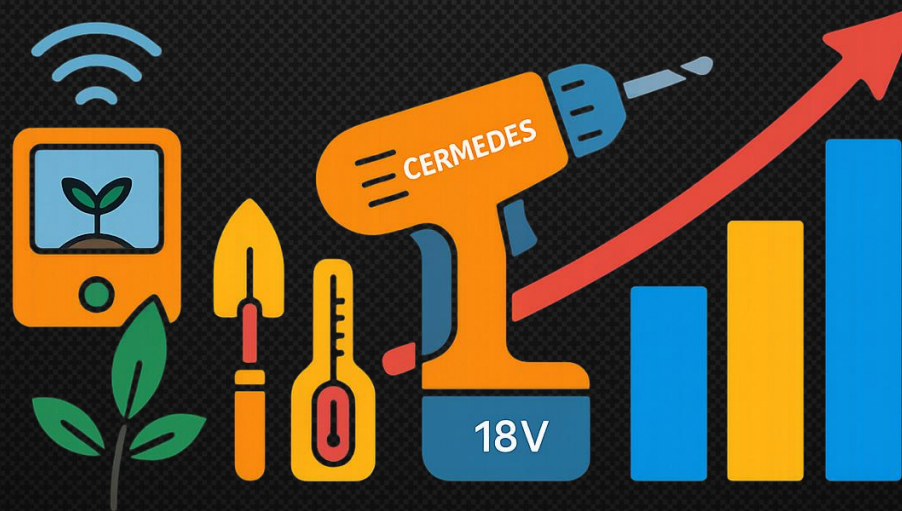
Powering ergonomic, battery-based
ecosystems

DIGITAL REVENUE AMBITION

30–50%
REVENUE
FROM 

DIGITALLY SUPPORTED
PRODUCTS

Alliance-ready,
tech-enabled tools



SMART GARDENING EXPANSION

EXPANDING INTO
SMART GARDENING
& DIGITAL TOOLS



Tech-forward
tools for modern
users

INCLUSIVE DESIGN VISION



TOOLS THAT FIT
EVERY HAND

Ergonomic. Age-adaptive.
Designed for all.

Vision Pillar II: Built to Grow Across Europe

Scalable, digital, and ready for expansion

REAL-TIME GROWTH

POWERED BY CRM INSIGHTS

Smarter decisions, faster outcomes



BUILDING IN-HOUSE

DIGITAL MARKETING POWER

SEO, content & strategic brand allies



“Engineered in Germany,
Designed for Europe”

STRUCTURED R&D



FOR FASTER PRODUCT INNOVATION

Investing in repeatable breakthroughs

TAPPING INTO

€40B

PROPERTY MAINTENANCE MARKET

Expanding in footprint across Western Europe



EXPANDING ACROSS BENELUX, DACH & SCANDINAVIA

Scaling smart in high-potential markets





CONSULTANCY

Let's RE:CHARGE



as the

Toolmaker of Tomorrow!!

Costs and ROI of Short Term Action Plan

Action	Estimated Cost*	Expected ROI
User Research & Field Observations	€5,000–10,000 (Low)	~10–15% savings in redesigning time; higher tool-user alignment
Persona Creation & Journey Mapping	€2,000–5,000 (Low)	Sharper innovation focus; ~5–10% increase in concept approval rate
Tool Redesign & Concept Prototyping	€15,000–30,000 (Medium)	Potential to reduce tool-related injuries by 20–30%; increased workforce satisfaction
Join Power-for-All Alliance	€20,000–50,000 (Medium)	~15–25% faster market entry; cost reduction in proprietary battery development
Plan Digital After-Sales Support	€10,000–25,000 (Medium)	Customer support cost reduction of 10–20%; improved service satisfaction

*Projected values are preliminary and may change based on project scope and partner feedback.

Costs and ROI of Medium Term Action Plan

Action	Estimated Cost*	Expected ROI
Build a Dedicated Ergonomic Tool Plant	€2M–4M (High)	Long-term production efficiency; potential cost savings of 15–25%; improved product consistency
Launch Cordless Tools in 3 EU Markets	€500K–1M (High)	Revenue growth potential of 20–30% in target markets; expanded customer base
Target Property Maintenance Firms via Subscription Model	€100K–300K (Medium)	30–50% increase in customer retention; steady recurring revenue stream
Implement Digital After-Sales Support	€200K–400K (Medium)	Up to 20% reduction in customer service costs; enhanced upsell/cross-sell potential
Run ‘Tools That Last’ Marketing Campaign	€100K–250K (Medium)	Brand awareness increase by 25–35%; improved perceived durability and quality

*Projected values are preliminary and may change based on project scope and partner feedback.